Cerebras Systems Inc.

Full investment research | Model assumptions and source evidence

1amInvesting | Full company research | Framework 8.0

Cerebras Systems

CBRS | Nasdaq Global Select Market | Evidence updated October 9, 2026

Q4 2027 model ceiling: USD 57.60

Analytical Base 42/60 = 70 | Watchlist

20× forward-four-quarter GAAP operating-profit equivalent per diluted end-window share

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	947.0	20x	328.845	57.60

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated Cerebras; core-to-GAAP bridge explicit. 20× forward-four-quarter GAAP operating-profit equivalent per diluted end-window share

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Thesis

Research initiated October 7, 2026; engineering evidence updated October 9, 2026. Nasdaq Global Select Market: CBRS. Currency: USD. Analytical Base: 70/100, Watchlist. Valuation convention: 20 times forward-four-quarter GAAP operating profit, including recurring stock compensation and customer warrant consideration, divided by fully diluted shares at the end of the four-quarter window. Outstanding customer-loan principal is deducted at the valuation quarter without a cash offset. Each coherent scenario is floored at zero before its probability-weighted value is calculated.

The investment question

Cerebras has a differentiated product and a difficult financial transition. Its wafer-scale architecture can generate individual answers quickly because large amounts of compute, SRAM and communication fabric sit on one piece of silicon. That can matter for coding agents, interactive applications and security decisions in which a slow answer has an economic cost. A signed, substantial OpenAI capacity commitment establishes commercial demand. It does not establish that every megawatt will arrive on time, that customers will absorb all future production, or that shareholders keep the full headline revenue.

The most consequential modeling choice is the earnings definition. Management's core results remove customer warrant amortization, stock compensation and data-center pass-through activity. Those measures help show commercial growth, but warrants transfer value to customers and employee awards dilute ownership. This research models the commercial business first and then restores the recurring costs needed for a prospective GAAP operating-profit estimate. It does not turn a core margin target into a GAAP margin target.

The reference already assumes a strong ramp: $3.3 billion of core revenue in 2027 and $6.4 billion in 2028. Additional probability-weighted branches cover partner distribution, limited repricing, some optional OpenAI capacity and later architecture savings. A bundled execution branch lowers the active result. The company can have a compelling engineering advantage while its common-share economics remain demanding. The five branch events are combined into 32 coherent scenarios; one outcome persists along each quarterly path. Each four-quarter operating-profit value is reduced by the customer-loan balance and floored at zero before averaging. This matters when some scenarios remain loss-making while others become profitable. Branch independence is a modeling assumption, not an observed correlation matrix.

Why wafer scale changes the bottleneck

Conventional accelerators move data among memory packages, chips, boards and racks. Each boundary consumes energy and introduces bandwidth or latency limits. Cerebras puts compute and memory near each other across a wafer. CS-4 uses three WSE-3 Turbo modules. The published specification gives 44 GB of SRAM per wafer, or 132 GB per rack, with very high aggregate on-wafer bandwidth. External I/O is a different boundary and much narrower than the sum of local links. Comparing those two numbers as if they measured the same thing would exaggerate the advantage. [C5]

The mechanism is especially attractive for latency-sensitive decode, where an individual sequence repeatedly accesses model state. It is less useful to say that every inference task is memory-bound. Batch size, model shape, context length, mixture-of-experts routing, available memory and the service-level requirement all matter. GPU systems can sacrifice individual response speed to process more concurrent requests economically. Cerebras must win on a customer's useful output at the required response time, not simply on an isolated speed chart.

The architecture also relocates constraints. It avoids HBM, CoWoS and advanced 3 nm fabrication within the current wafer-scale engine, but it still needs TSMC wafers, good assembly yields, power electronics, cold plates, software, reliable service and energized buildings. SRAM capacity is expensive in silicon area. A large model can span multiple wafers; the published projection for multi-trillion-parameter models is not proof that every future model will run at the same speed or utilization.

Original issuer exhibit | Original CS-4 specification. The rack contains three WSE-3 Turbo wafers: 132 GB total on-wafer SRAM, 129.6 PB/s aggregate memory bandwidth and 7.2 Tbit/s external I/O. The 750 PFLOPS figure is sparse FP16. On-wafer bandwidth and external fabric bandwidth are different measurement boundaries.

CS-4 AT A GLANCE

CS-4 SYSTEM

Architecture	Active power rack with three modular compute backpacks
Wafer Scale Engines	3 x WSE-3 Turbos per system
AI Compute	750 PFLOPS*
Memory Bandwidth	129.6 PB/s
On-chip Fabric Bandwidth	160.5 PB/s
I/O Bandwidth	7.2 Tbit/s
I/O Latency	2 microseconds

WSE-3 TURBO (PER WAFER)

Transistors / Silicon	4 trillion transistors; 46,225 mm²; TSMC 5nm
AI Cores / On-Chip SRAM	900,000 cores; 44 GB SRAM
AI Compute	250 PFLOPS*
Memory Bandwidth	43.2 PB/s
On-chip Fabric Bandwidth	53.5 PB/s
I/O Bandwidth	2.4 Tbit/s

*AI compute shown as sparse FP16.

Original issuer exhibit | Original CS-4 specification. The rack contains three WSE-3 Turbo wafers: 132 GB total on-wafer SRAM, 129.6 PB/s aggregate memory bandwidth and 7.2 Tbit/s external I/O. The 750 PFLOPS figure is sparse FP16. On-wafer bandwidth and external fabric bandwidth are different measurement boundaries.

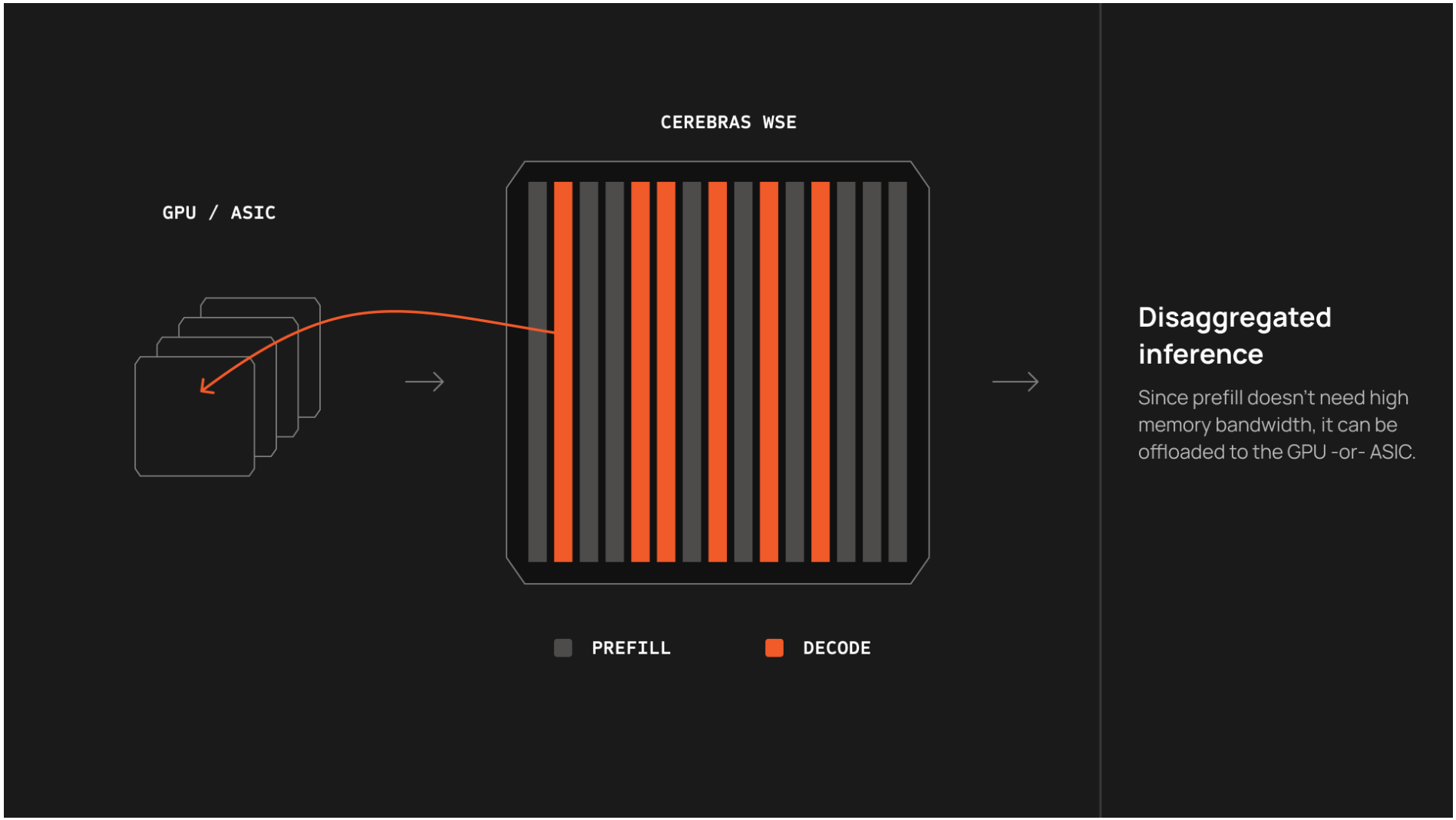
Disaggregating inference changes both revenue and cost

Prefill processes a prompt; decode generates subsequent tokens. The two stages have different compute and memory needs. AMD and Cerebras announced a design in which AMD's Helios platform performs prefill and Cerebras performs decode. Management expects production in Q4 2026. The planned AWS offering uses a related division of work and is targeted for Amazon Bedrock in Q1 2027. [C3, C7]

These relationships have different invoices. In Cerebras's own cloud, the customer pays Cerebras for service and Cerebras pays for the AMD equipment, power, cooling and depreciation. In a partner deployment, Cerebras may earn equipment lease and support revenue while the partner owns the retail service relationship. Neither structure gives Cerebras all of the partner's AI revenue. The model separates private cloud, hardware sales and partner leases/support.

Management's up-to-five-times throughput benefit is evidence that specialization can improve system use. It is not applied as a five-times revenue uplift. The Q1 call also supplied an important counterargument: specialization assumes a traffic mix. If the balance between prompt processing and token generation changes, one side can sit idle while the other becomes constrained. Software orchestration, scheduling and utilization therefore remain part of the moat and the cost base. [C9, C10]

Original issuer exhibit | Issuer concept: prefill runs on a GPU or ASIC, decode on Cerebras. The figure simplifies workload behavior; prefill can also be bandwidth constrained under some shapes. AMD hardware, power and depreciation must remain in Cerebras cloud costs.



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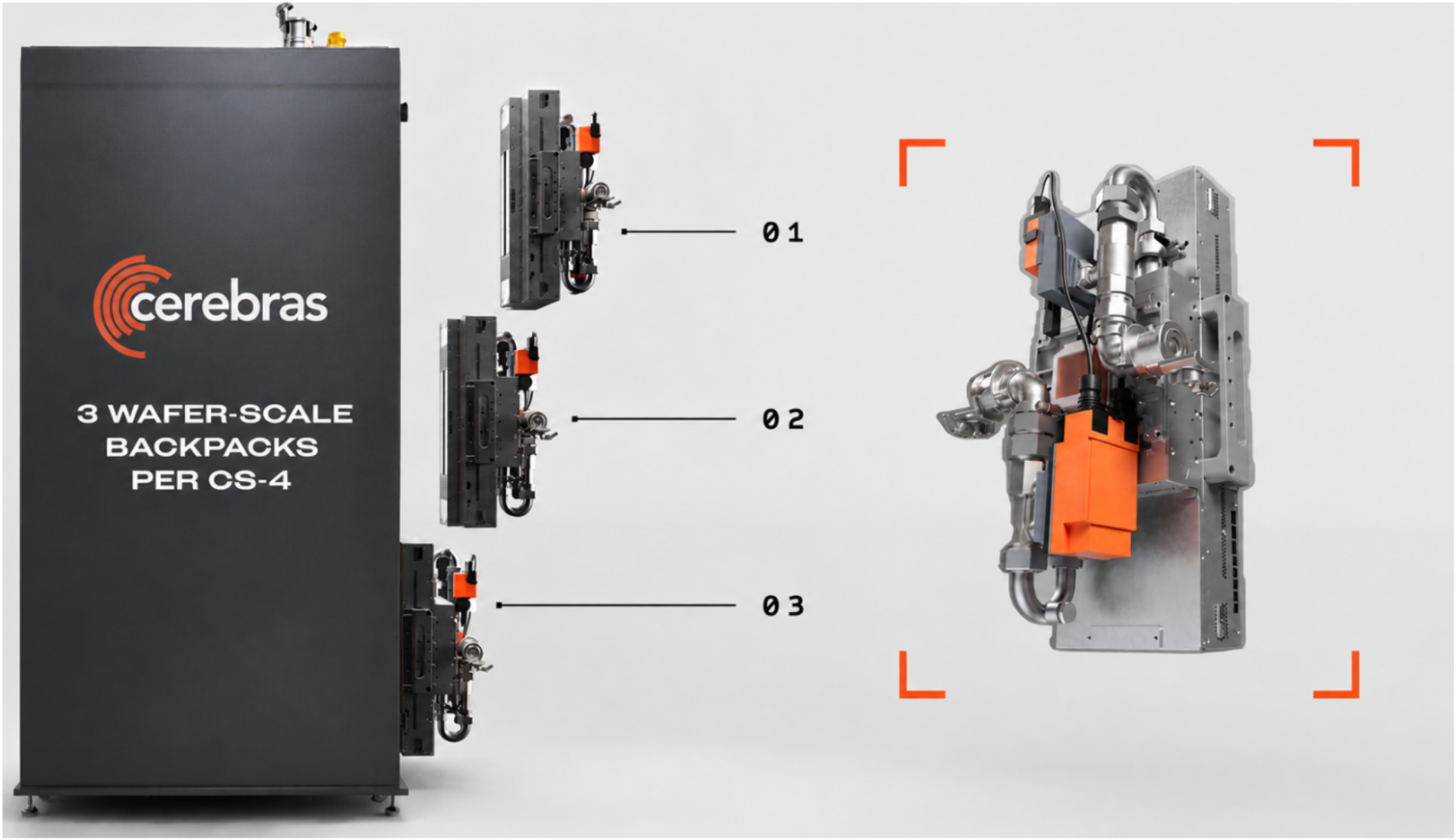
Building the rack is an operating capability

CS-4's Nexus platform places three removable compute backpacks in a rack, with power delivery and water connections arranged for modular service. The exploded assembly shows that the commercial product includes a wafer, cold plate, power delivery and I/O, not just a chip. Better serviceability could reduce downtime and replacement cost. However, field failure rates, wafer-scale yields and lifecycle repair costs are not disclosed. The financial model does not assume that an attractive diagram establishes production economics. [C5, C6]

The company named Flex, Sanmina and Rocket EMS as contract manufacturing partners and said manufacturing capacity would rise more than tenfold in 2026. That is a comparison with an earlier base, not an absolute number of good systems. TSMC supply agreements help, but the final constraint can still be tested racks, installation labor or available power. The reference capex budget and execution branch cover this production chain together; separate shocks for every correlated bottleneck would double-count the same delayed delivery. [C3]

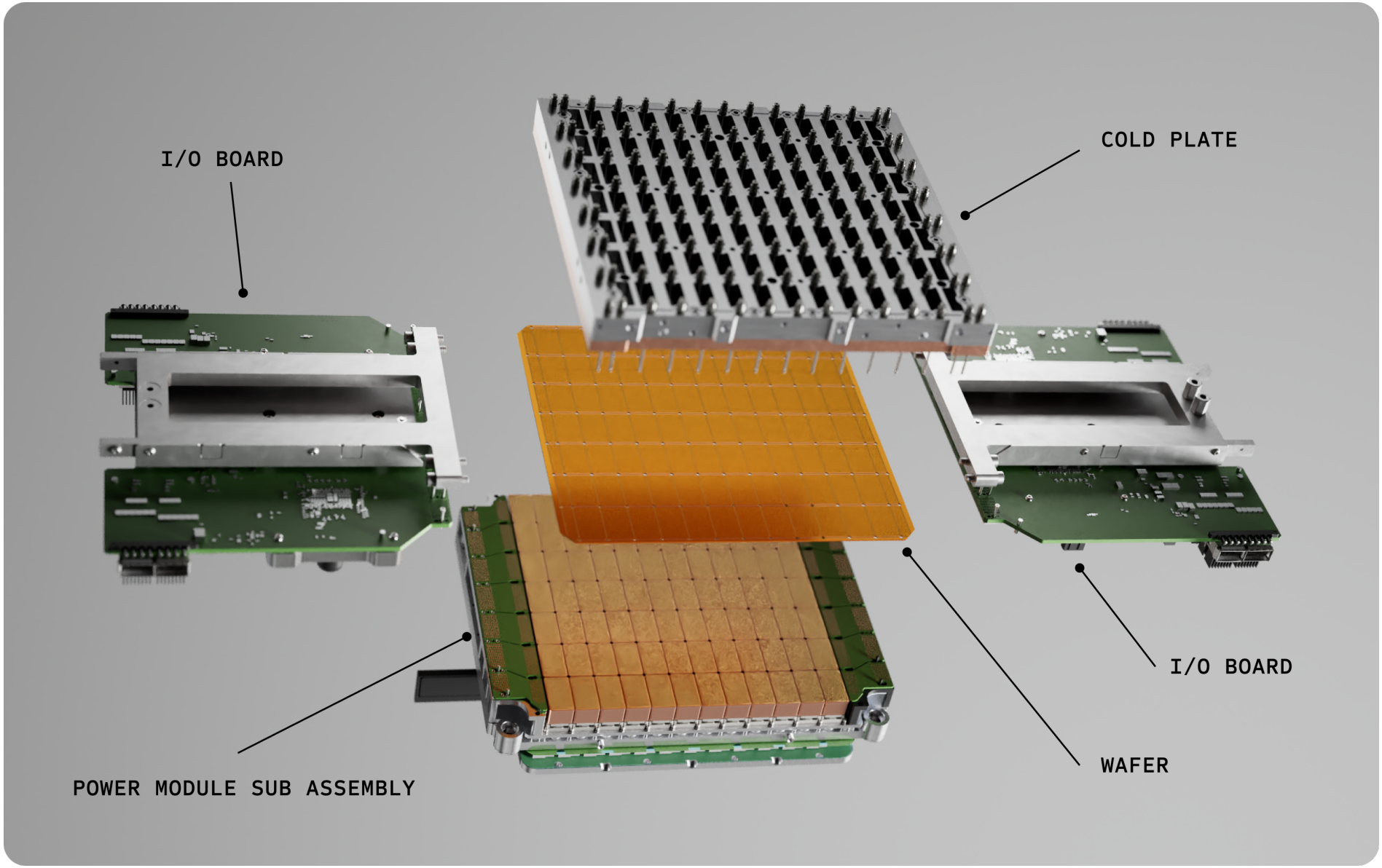
There is a technical read-through to cooling and precision assembly companies, including the AVC/Fositek capabilities studied separately. No public award to either company was verified here. Engineering compatibility is a discovery signal, not permission to assign the same rack wallet to several suppliers.

Original issuer exhibit | Three removable wafer-scale backpacks per CS-4. Modular replacement can reduce service time, but the company has not disclosed field failure rates, good-unit manufacturing yields or uptime-adjusted total cost.



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Original issuer exhibit | Original exploded wafer, cold-plate, power and I/O assembly. The technical requirement supports a cooling/precision-manufacturing opportunity; it does not establish a named AVC or Fositek supply award.



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October 9 engineering review: repairable silicon must also pass its speed specification

Decision: retain the existing Q4 2027 ceiling of **USD57.59550302400542**, analytical Base **70**, Excel Base **70**, share schedule and 20 x forward-four-quarter GAAP operating-profit method. The October 8 Damnang article improves the explanation of manufacturing risk. It does not disclose a deterioration in Cerebras's measured production yield, customer acceptance or unit cost. The existing 30% execution-risk scenario remains active; adding another manufacturing shock would count the same risk twice.

What the source establishes

Damnang describes experience in semiconductor test and failure analysis and builds models from public architecture, patents and explicitly chosen assumptions. The complete supplied article and all 29 substantive figures, including the image-only appendix, were reviewed. Its calculations are engineering scenarios. Patent embodiments do not establish the exact production repair algorithm, and process examples from other chips are not current TSMC N5 measurements for Cerebras.

There are three distinct denominators. Active cores divided by physical cores measures utilization inside one device. Wafer shipment yield measures how many tested wafers pass all required specifications. Cost per accepted system also includes failed wafers, assembly, diagnosis, configuration, retest, burn-in where applicable and field support. A favorable result for one denominator cannot substitute for the other two. Cerebras's own January 2025 discussion describes its 164 x comparison as the silicon area disabled in a simplified defect example and acknowledges clustered-defect limits. [C14, C15]

damnang RESEARCH

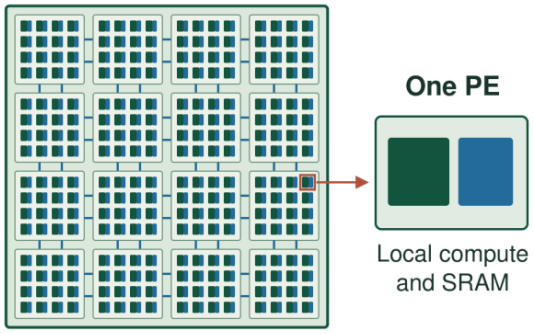
Two physical layouts, similar active core ratios

Small PEs span reticle fields in WSE; SMs are grouped inside the GPU compute die.

Cerebras WSE

One connected wafer scale processor

Connected reticle fields



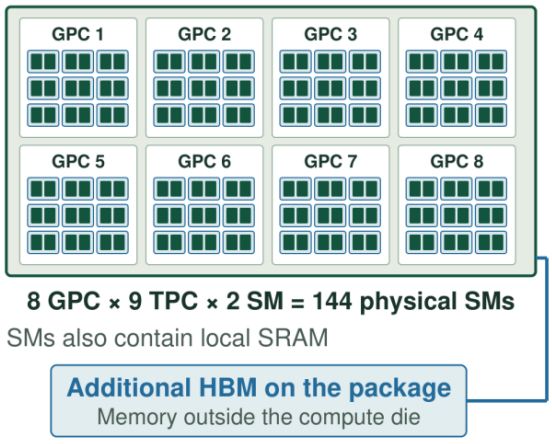
46,225 mm² of continuous silicon

Compute Local SRAM

NVIDIA H100 SXM

A compute die plus HBM on the package

814 mm² compute die



8 GPC × 9 TPC × 2 SM = 144 physical SMs

SMs also contain local SRAM

Additional HBM on the package
Memory outside the compute die

Active share within each product

WSE PEs

900,000 active / 970,000 physical

92.8% active

70,000 not active

H100 SMs

132 active / 144 physical

91.7% active

12 not active

Active Not active; may include healthy cores

Core utilization

Active cores / physical cores

Within one product

Manufacturing yield

Passing products / products tested

Across a production population

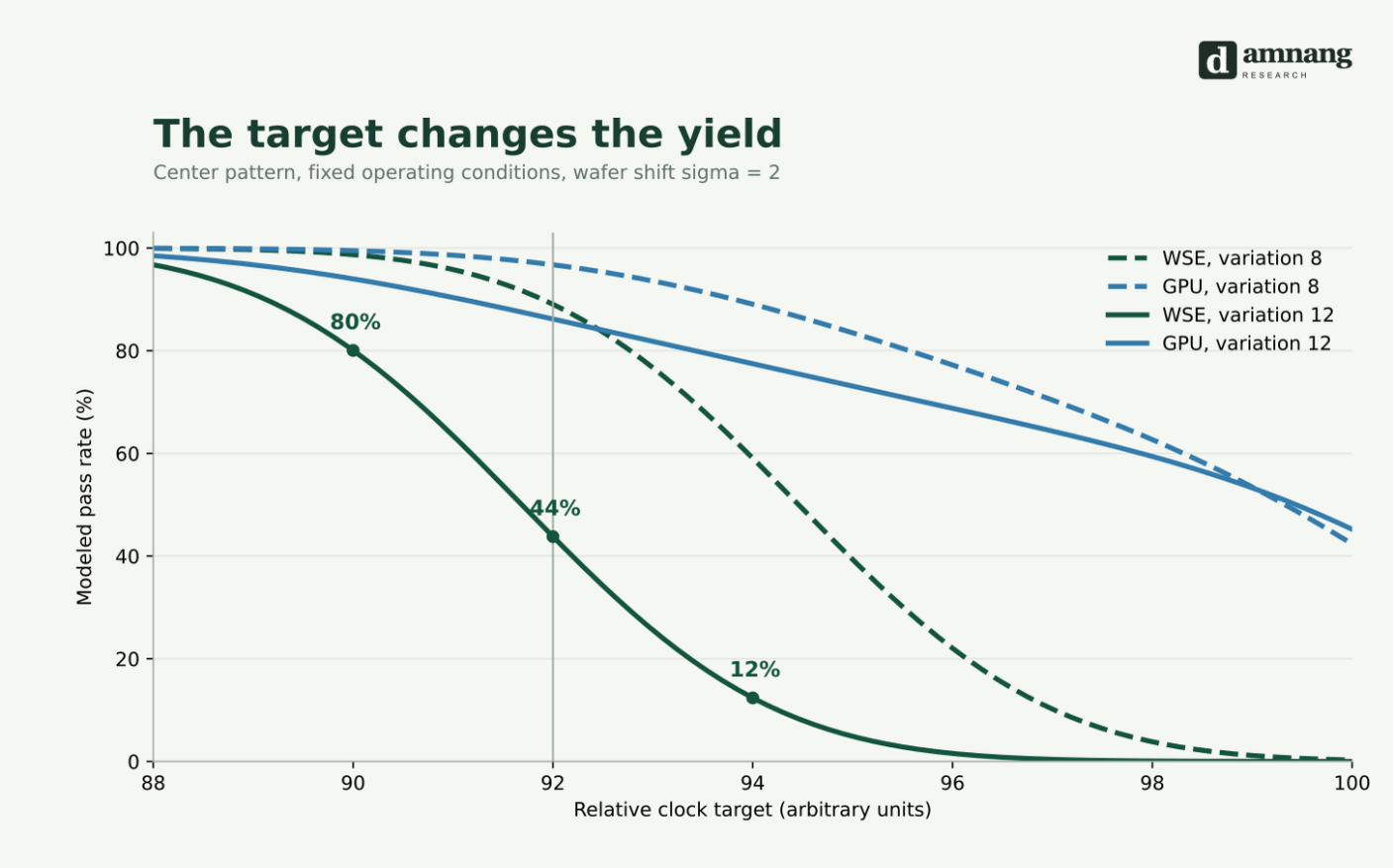
Physical layouts use different magnifications. Reticle fields and HBM placement are schematic, not actual floorplans.
PE and SM counts are different units. The bars compare fractions, not silicon area, compute capacity or product yield.
132 active SMs is an H100 SXM specification; it does not establish that any 12 faulty SMs can be disabled.
Sources: Cerebras WSE-3 disclosures and NVIDIA Hopper architecture. Inactive cores are not necessarily defective.

Original Damnang schematic: active-core fraction is different from manufacturing shipment yield. PE and SM counts are different units; layouts are conceptual. Source: Damnang, October 8, 2026; original preserved in the source archive.

Spatial variation and speed qualification

Redundancy can replace a defective compute element while a selected connection still misses its timing limit. Dedicated longer wires must meet physical delay requirements; routing packets through additional routers instead adds hops and possible contention. Those mechanisms should not be modeled as identical delays. Broad slow regions can also exhaust usable cores or require less favorable connections, even when a wafer's average performance looks adequate.

Counter-evidence matters. In the author's simplified low-density random-defect case, both the WSE and GPU models pass almost all products. Moving the slow region toward the edge can favor the wafer-scale footprint. A local spare shortfall need not reject a whole wafer when another permitted repair is available. The severe center-slow simulation therefore cannot establish a typical production yield or a measured disadvantage. The relevant unknowns are the actual spatial distribution, accepted speed bins, alternative repairs, voltage/thermal margins and their production mix.

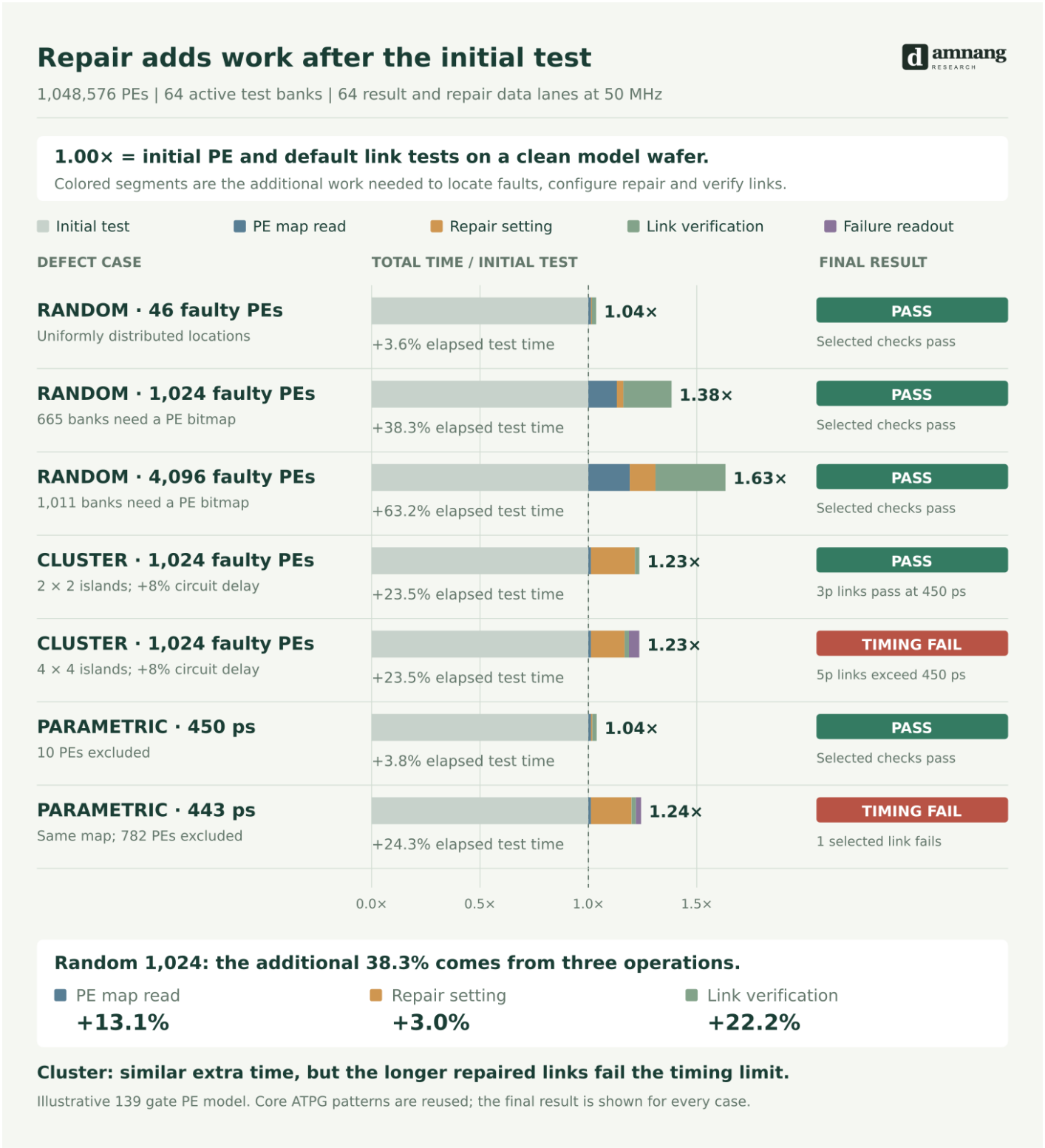


Original Damnang simulation: yield versus an arbitrary relative clock target under assumed center-slow variation. The 44% result is hypothetical, not measured Cerebras yield. Source: Damnang, October 8, 2026; original preserved in the source archive.

Repair consumes test capacity and can fail late

The article's toy test cases add work to read defect maps, program repairs and verify the resulting connections. Higher core-level fault coverage alone does not prove every selected long path meets timing. A stopped repair attempt may run for less time because the model rejects it early; that is not evidence of better test productivity.

For economic analysis, test cost per good wafer equals test-equipment cost per hour times all occupied test hours, divided by the number of accepted wafers. Wafer and assembly costs belong in the same good-unit denominator. More test time can require more installed tools or reduce throughput, but a vendor only earns additional revenue when its specific qualified equipment or software is ordered and accepted. The source names no new supplier award.



Original Damnang toy test model: extra diagnosis, configuration and verification time. A timing failure can occur after work has been spent. These are simulation outputs, not actual production test times. Source: Damnang, October 8, 2026; original preserved in the source archive.

Why Turbo deserves separate qualification evidence

A tighter speed requirement can change which cores are retained and therefore which physical connections are needed. The author's 444-to 443 ps example is a discontinuity in a chosen toy repair configuration: it is neither Turbo's actual frequency nor a measured yield cliff. Cerebras's power-delivery, cooling and modularity improvements remain counter-evidence, because they can improve operating margins and assembly performance. The investment test is whether those improvements survive target-speed qualification across commercial production lots.

Speed screening changes the repair path

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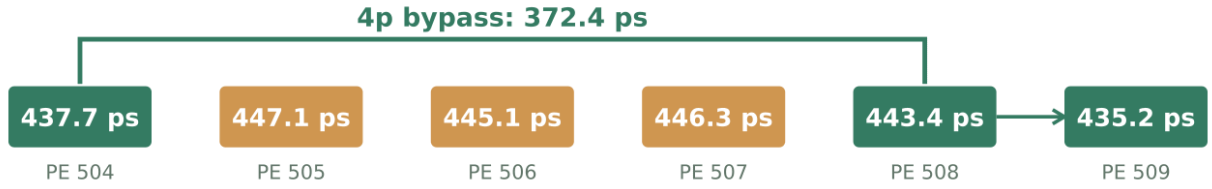
The same PE delay map can require a different connection at a shorter Capture interval

Fixed 1,024 × 1,024 PE model; no new physical defects; consecutive usable PEs are reconnected.
Zoom: physical row 511, columns 504 to 509. Each PE label shows its required core period.

A Capture = 444 ps

PASS

Whole model: 464 PEs excluded (0.044%)

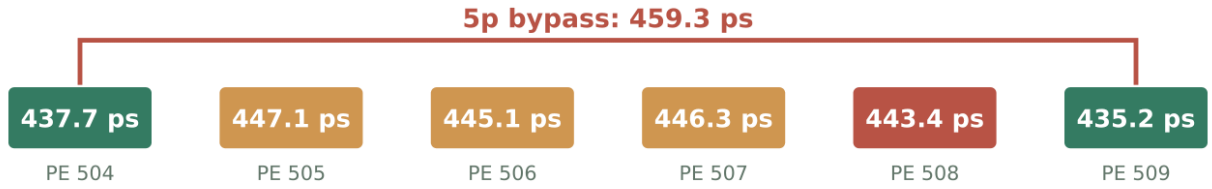


PE 508 passes. Three excluded PEs require a 4p bypass; link slack is +71.6 ps.

B Capture = 443 ps

FAIL: SELECTED LINK

Whole model: 782 PEs excluded (0.075%)



PE 508 now fails. Both endpoints pass, but the new 5p bypass misses timing by 16.3 ps.

99.925% of PEs pass the core screen at 443 ps, yet this selected repair connection fails.
The limiting condition is the usable PE arrangement plus its link timing.

This reproduces the Section 5 example, not Turbo frequency, yield or the actual Cerebras repair algorithm.

Original Damnang toy timing example: changing the capture limit from 444 to 443 ps changes the selected bypass. This is not an actual WSE-3 Turbo clock or repair algorithm. Source: Damnang, October 8, 2026; original preserved in the source archive.

Probability and operating-profit treatment

The existing CBRS-EXEC branch already assigns **30% probability** to a **15% shortfall in reference private-cloud core revenue**, a **5-percentage-point gross-margin reduction on the remaining 85%**, and extra support operating expense equal to **2% of the original private-cloud pool** in 2027-2028. The effects halve in 2029-2030. Lost revenue avoids the existing 6% warrant charge; committed capital spending remains in the cash stress. There is no new change to these numerical assumptions.

Let C be quarterly reference private-cloud sales and g the reference gross margin. During 2027-2028 the conditional revenue effect is -0.15 C+0.06(0.15 C), and the conditional operating-profit effect is -0.15 Cg-0.85 C(0.05)+0.06(0.15 C)-0.02 C. The active contribution is 30% of that effect. This is the existing company-specific bridge, not an extra deduction.

A bounded diagnostic tests whether repair time alone warrants another cost layer. Assume, for illustration only, the affected test step represents 1-3% of manufacturing cost. Applying the article's rounded 1.04-1.63 x test-time cases would increase that manufacturing cost by approximately 0.04-1.89%, before any changed yield. Neither the cost share nor those time factors is a measured Cerebras input. They illustrate a mechanism already inside the gross-margin and support-cost stress; they do not independently establish an additional 5 pp margin loss. The hypothetical 44% wafer-pass example cannot be substituted for an actual shipment-cohort yield.

Increment above the existing model: zero revenue and zero operating-profit change in every quarter. The reason is overlap with the already funded execution branch and lack of evidence locating actual production within the hypothetical simulations, not a requirement to wait for official confirmation. Probability remains 30% because this is mechanistic analysis of an already identified risk rather than a new observed manufacturing failure. Supplier test-time premiums likewise receive no separate increment without a named product, exposed wallet and acceptance bridge.

Revisit the branch with independent evidence of accepted wafer output by speed bin, first-pass and final yield, repair/retest hours, field returns, qualified test-tool demand, delivery delays or cost per accepted system. Persistent deterioration could increase the probability or severity; stable commercial delivery and lower repair cost could reduce it. Do not add correlated power, yield, cooling and utilization constraints as independent demand losses.

Second-order scope

TSMC's foundry relationship and the broader need for EDA, test, thermal and power tools are already recognized in the universe. The article cites Siemens and Synopsys to explain general test capabilities; it does not establish their use by Cerebras. Its discussion of in-system burn-in also does not identify an Aehr or Chroma order. No new supplier revenue, new company model or Base score follows from these references. The missing commercial evidence is retained as a precise watch item.

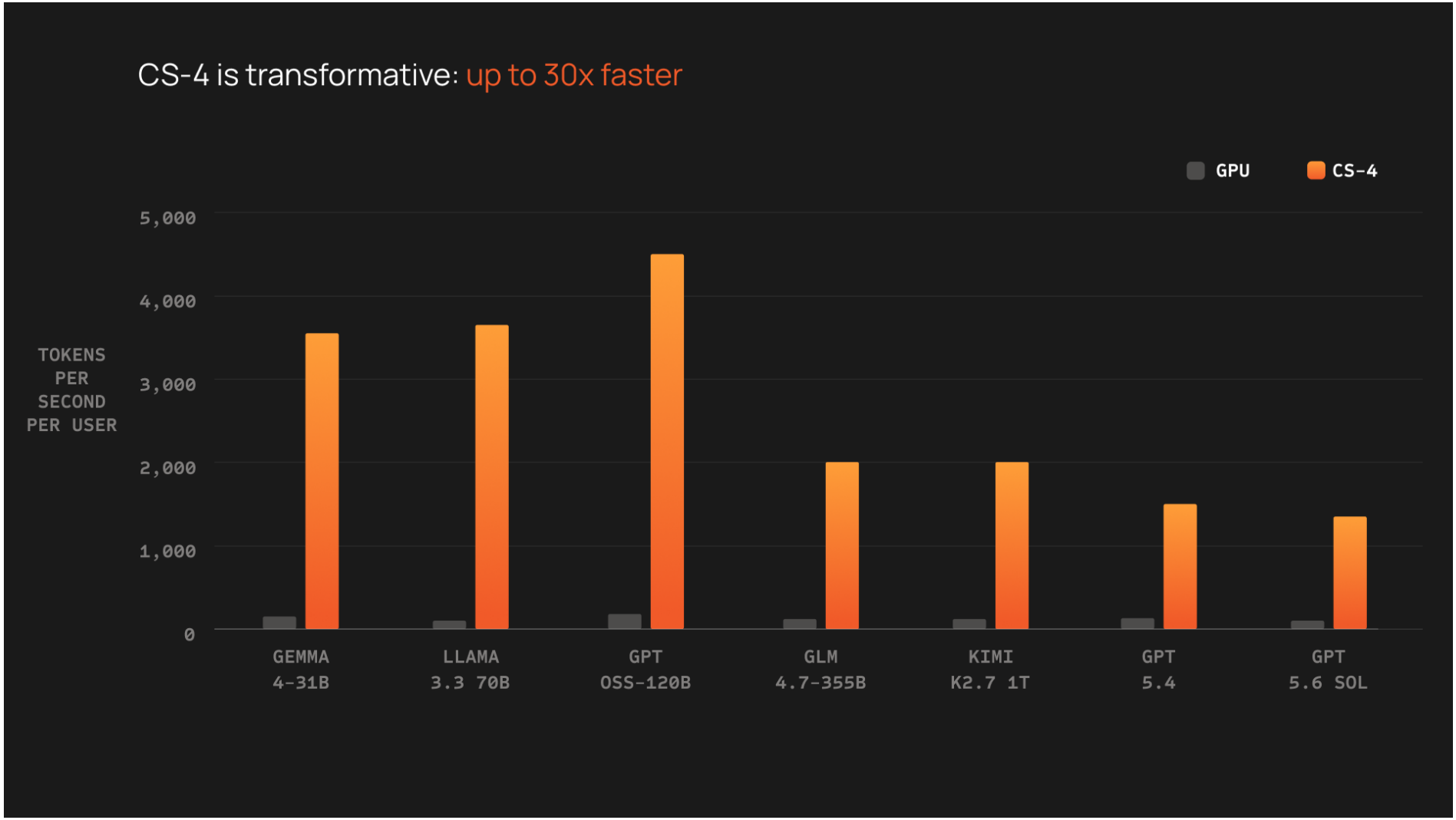
Speed is a product feature, not a revenue multiplier

The issuer's benchmark figure compares tokens per second per user across named models and reports up to a 30-times advantage. That is useful when the application values latency. It does not describe simultaneous-user throughput, accuracy-adjusted cost per task, all-in system cost or realized revenue. Model versions, output lengths, concurrency and comparison dates need to match before drawing broader conclusions. [C5]

Public customer examples include coding platforms Cognition and Lovable, enterprise users such as Block and GSK, and CrowdStrike's security application. These examples demonstrate applications for fast inference. Contract values, gross margins and paid utilization are generally not public. The public developer pricing page likewise qualifies performance by model and configuration; a retail API rate is not the realized price in a multiyear infrastructure agreement. [C3, C13]

Nvidia's ecosystem, AMD, custom hyperscaler accelerators and other inference specialists remain alternatives. Customers can also use a slower, cheaper service for background work. Cerebras's strongest competitive case is a combination of fast responses, supported models, easy integration and dependable capacity. A universal monopoly claim would exceed the evidence.

Original issuer exhibit | Issuer comparison measures tokens per second per user for named models. The up-to-30-times claim is not total concurrent throughput, utilization, identical-quality cost per token or a profit multiplier. Comparison settings and service dates matter.



Original issuer exhibit | Issuer comparison measures tokens per second per user for named models. The up-to-30-times claim is not total concurrent throughput, utilization, identical-quality cost per token or a profit multiplier. Comparison settings and service dates matter.

Actual earnings and the guidance bridge

In 2025, revenue was $510.0 million, gross profit $199.1 million and operating loss $145.9 million. Reported net income was positive because non-operating income included a $363.3 million forward-contract extinguishment gain. That gain is not operating earning power. [C2]

Q2 2026 GAAP revenue was $180.1 million and operating loss was $477.2 million. Core revenue was $209.9 million and core operating loss was $33.6 million. The reconciliation is large for identifiable reasons: customer warrant amortization was $44.3 million, stock compensation $377.0 million, and IPO-related employer payroll tax $22.8 million. Pass-through activity contributed only about $0.4 million of gross profit. The model reproduces the published GAAP revenue, gross profit and operating loss exactly from the core bridge. [C1, C3]

The IPO triggered $273.6 million of accumulated legacy RSU expense. Repeating that exceptional charge every quarter would be wrong. Removing all future stock compensation would also be wrong. The model uses $350 million of recurring annual SBC in 2027, rising to $480 million in 2030. These are explicit assumptions, including ongoing employee and executive awards, rather than management guidance.

The near-term reference matches management's midpoint: Q3 core revenue of $215 million, 39% core gross margin and negative 24% core operating margin. Full-year core revenue is $885 million, gross margin 42% and operating margin negative 18%. This implies Q4 core revenue of $268.8 million and a core operating loss of $70.6 million. The annual guide therefore requires a substantial expense ramp; an assumed profitable Q4 would not reconcile. [C3]

The 2027 reference is 3.73 times the 2026 midpoint, consistent with the direction of management's plan for more than tripling revenue, though the exact amount is our assumption. Core private-cloud gross margin progresses from 47% in early 2027 to 60% in late 2028. Hardware margins remain much lower. The higher margin depends on owned capacity replacing expensive transitional arrangements and on useful fleet utilization. Q2 also contained $11.8 million of inventory provisions during a product transition, demonstrating that new generations can create real costs. [C1, C9]

Contracts, capacity and revenue are three different schedules

The OpenAI agreement commits to 750 MW of inference capacity. Its service term is three or four years, extendable to five. An additional 1.25 GW is an option, not committed demand. The base business includes the committed capacity; the incremental option branch uses only a quarter gigawatt of the larger option, at 30% probability, with capital deployed before revenue. [C1]

June remaining performance obligations were $25.4 billion. Management expected 22% to be recognized through June 2028, 43% in the following two years and the rest later. The schedule is a constraint on the revenue story, not another revenue line. A diagnostic allocation sums to $5.588 billion through June 2028. It cannot be tied perfectly to core revenue because the disclosed backlog includes multiple customers, hardware and some pass-through charges, while some future variable pass-throughs are excluded. That reconciliation must improve as new filings disclose delivery. [C1]

The company reported more than 600 MW live or under contract for delivery by the end of 2027. This is not 600 MW already producing revenue. The later Mikkeli announcement describes contracted IT capacity growing in phases from 50 MW to 80 MW and then 165 MW, with seven-year service orders. The initial phase was under construction. Its stated regional investment estimate is not Cerebras's equipment capex, and overlap with the earlier capacity total was not disclosed. There is no separate additive Mikkeli revenue shock. [C3, C8]

For a scale check, private-cloud revenue is divided by an assumed $8.5 million per billed MW-year. That is a proxy, not a disclosed contract rate. The reference requires roughly 412 billed MW at Q4 2027 and approximately 936 MW at Q4 2030, before optional capacity. Future power, system cost and customer utilization must support that output. The denominator of the calculation is not nameplate site capacity.

Probability-weighted changes beyond the reference

The 55% partner branch adds only residual distribution above an existing partner revenue ramp. After warrant consideration and incremental engineering/support costs, 30% of conditional added sales reaches GAAP operating profit. The 35% pricing branch applies a 5% premium to only 15% of private-cloud reference sales in 2027-28, fading thereafter. Existing fixed contracts are not repriced.

The OpenAI option branch has 30% probability. Conditional revenue starts in Q2 2029 and reaches a $2 billion annualized run rate by Q4 2030. Its conditional capex is $2.4 billion across 2028-30, and 39% of incremental sales remains as operating profit after operating costs and an additional warrant allowance. This is a limited take-up case, not the full 1.25 GW opportunity.

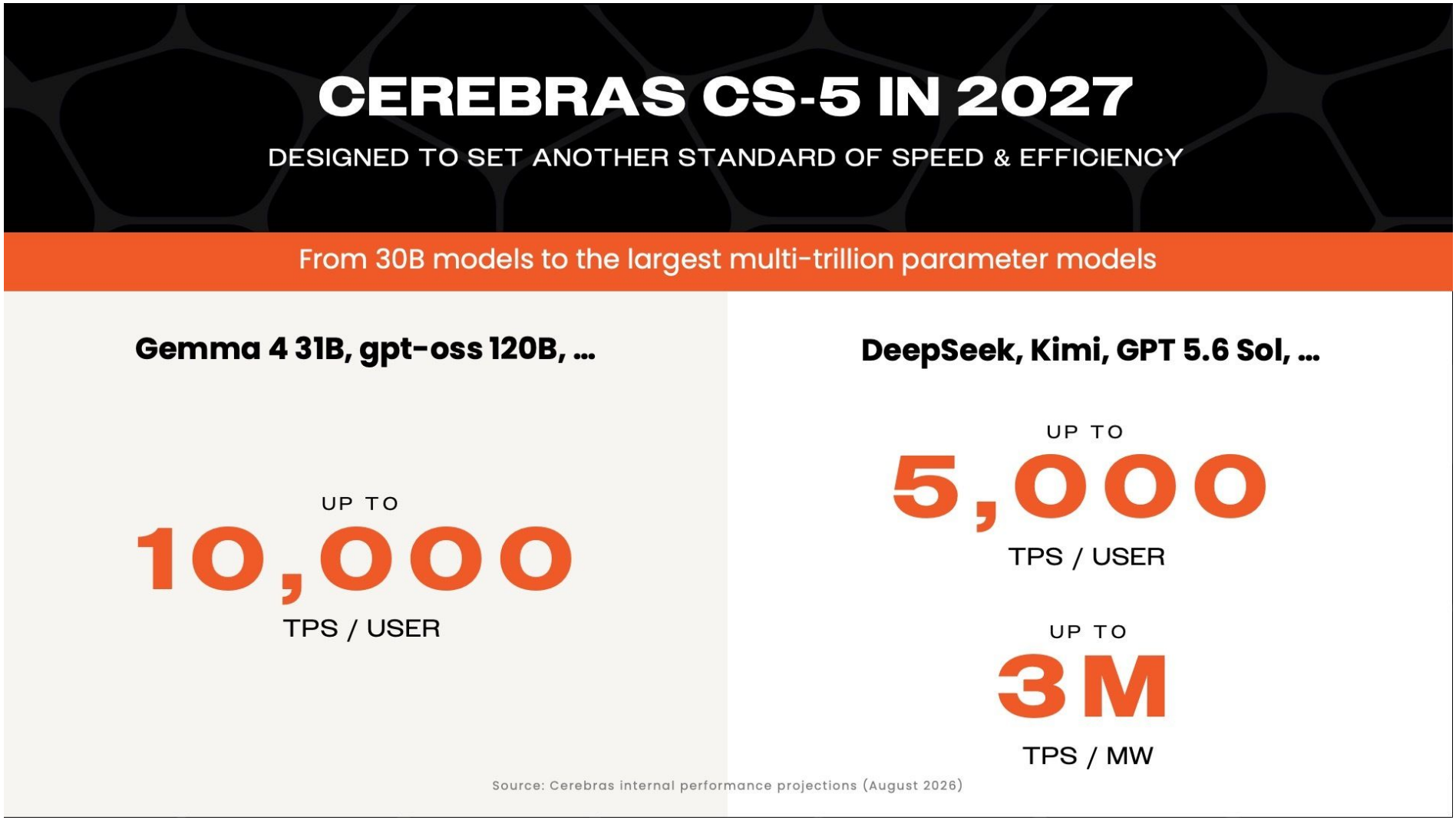
A separate 30% execution state loses 15% of reference private-cloud sales, lowers the remaining gross margin by five percentage points and adds operating support expense in 2027-28. The effect halves in 2029-30. Capital commitments are retained in the cash stress. This captures correlated deployment and utilization risks without adding the same delay repeatedly.

The roadmap can help, but the invoice still needs to be earned

CS-5 is targeted for 2027. Its published performance goals distinguish per-user token speed from tokens per second per megawatt. CS-6 proposes stacked DRAM alongside wafer-scale SRAM. That could reduce the physical footprint required to store a model, but commercial timing, good-unit bonding yields and qualified cost remain open. [C6]

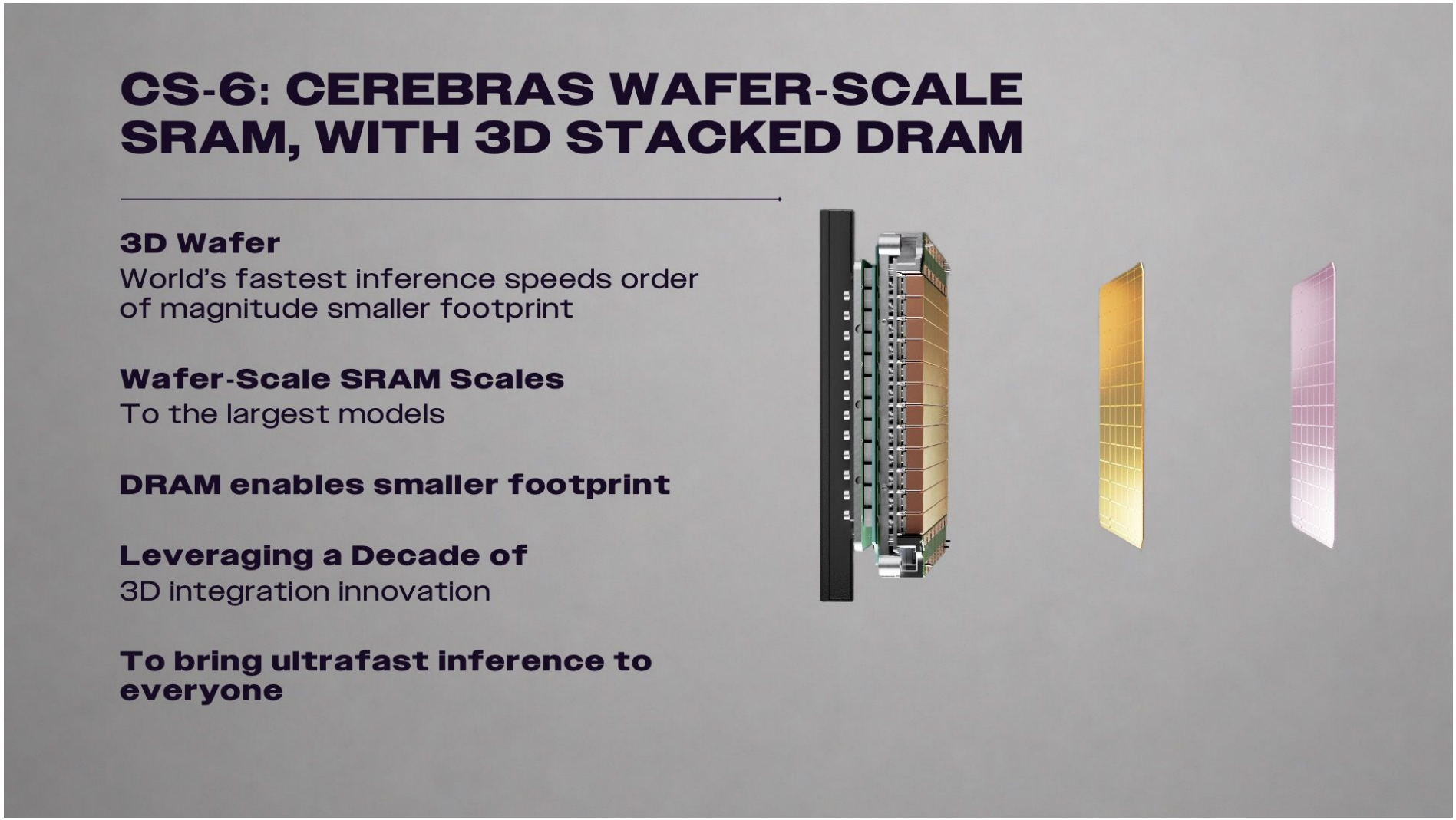
The later roadmap receives a 30% probability of a residual three-point GP improvement on only 30% of 2029-30 reference cloud revenue, less additional engineering expense. The reference already contains large CS-4/disaggregation savings, so the entire architecture benefit is not counted again. The roadmap branch adds no demand or revenue multiplier and identifies the new memory/packaging costs within its retained saving.

Original issuer exhibit | CS-5 2027 roadmap uses internal August 2026 projections. Up to 10,000 or 5,000 tokens/s/user and up to 3 million tokens/s/MW are different metrics; they must not be multiplied together.



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Original issuer exhibit | CS-6 concept adds 3D-stacked DRAM to wafer-scale SRAM. This is a future architecture, not a current HBM product or a confirmed supplier award. A bounded 2029-30 efficiency branch includes new packaging and engineering costs.



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Funding and the common-share claim

June unrestricted cash and investments were $7.922 billion. Restricted cash of $684.7 million is separately available for permitted OpenAI infrastructure uses. The $918.2 million customer loan is debt, even though service billings can repay it without a cash transfer. The model deducts those billing credits from cash collections once and reduces the loan once; it does not treat them as both cash sales and a free debt reduction. The $850 million revolver was undrawn and is not counted as existing cash. [C1]

Reference equipment and facility spending is $3 billion annually in 2027-29 and $3.2 billion in 2030, with additional capital for the positive adoption branches. Four-year equipment depreciation sits within costs, consistent with the disclosed three-to-five-year life range. Cash generation adds back depreciation and noncash equity charges once. Working capital, cash tax and the customer-loan repayment are included. All 32 coherent scenario cash paths remain above the modeled minimum liquidity reserve, so no financing share issuance is required within these particular scenarios. A higher delivered cost per MW could change that conclusion.

Lease costs are included in operating economics and contractual pass-throughs; lease liabilities are not deducted a second time from an operating-profit valuation. About $2.3 billion of additional undiscounted lease commitments had been signed in Q2/Q3 but were not all commenced at June. Landlord payment timing and customer collection timing remain material risks. No assumed new customer advances are used to plug a funding hole. [C1]

June issued common shares totaled 228.204 million. The August 5 cover count was 237.564 million, including the July exercise of 10.034 million OpenAI warrants. The model starts from the June count and adds the full June options, RSUs and existing customer warrants, giving 319.197 million fully diluted economic shares. This deliberately includes awards whose conditions might fail. It does not add the July exercise again. A 1.5% annual new-award reserve follows. Existing treasury shares were already excluded from issued outstanding shares and are not subtracted twice. [C1]

Customer warrant accounting is finite. The reference charges $1.910 billion from Q3 2026 through Q4 2030, requiring additional probable vesting beyond the $1.128 billion asset recognized at June. The maximum grant-date value of all existing customer warrants is about $3.545 billion; the model charge remains below that ceiling. Exact tranche recognition and amortization timing are not known, and expense continues beyond the modeled horizon. Both this accounting charge and the diluted share claim are retained under the chosen GAAP method.

What would change the assessment

The next decisive evidence is paid utilization on delivered capacity, reconciliation of core to GAAP margins, repeatable good-system output, and cash cost per installed MW. AWS and AMD production milestones should be evaluated against actual recognized invoices. Customer warrant vesting and employee awards need a new share bridge each quarter. CS-5 must demonstrate sustained service performance and cost at scale, not only a peak benchmark.

The Base score is 42 out of 60, rounded to 70: Core 15, Cycle 8, TAM 8, Catalysts 4, Macro 8, Alpha 4 and Risk minus 5. The engineering differentiation and committed demand support serious coverage. Concentration, execution, customer consideration, dilution and control rights limit conviction. The score is analytical and does not depend on valuation.

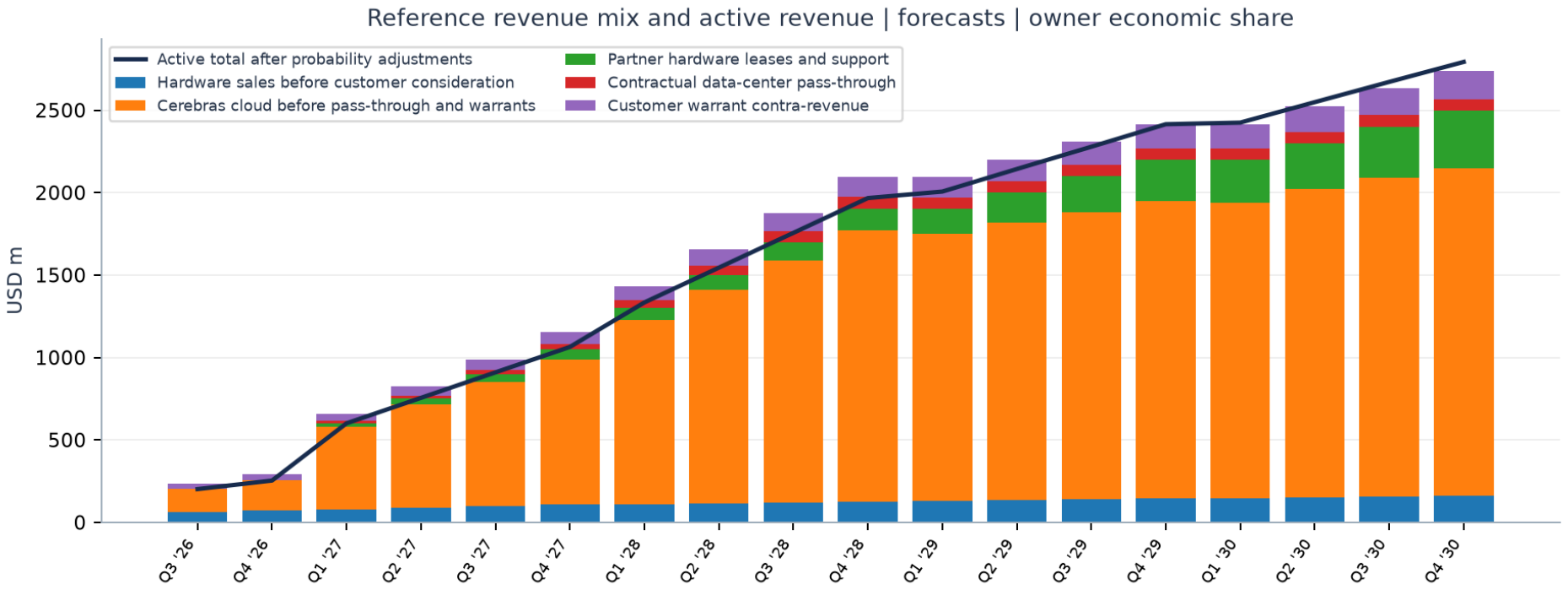
Source IDs refer to the accompanying primary-source register. Company financial facts are separated from management targets and labeled model assumptions throughout. The two calls were read in redistributed transcript form; original audio was not independently transcribed.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	15	See the scoring evidence and distinct risk classes in the analysis.
Cycle	8	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	8	See the scoring evidence and distinct risk classes in the analysis.
Alpha	4	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-5	See the scoring evidence and distinct risk classes in the analysis.
Total	42/60	Rounded Base 70. Both artifact and new workbook row use this score; this is not a manual override.

Revenue and business mix

Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.



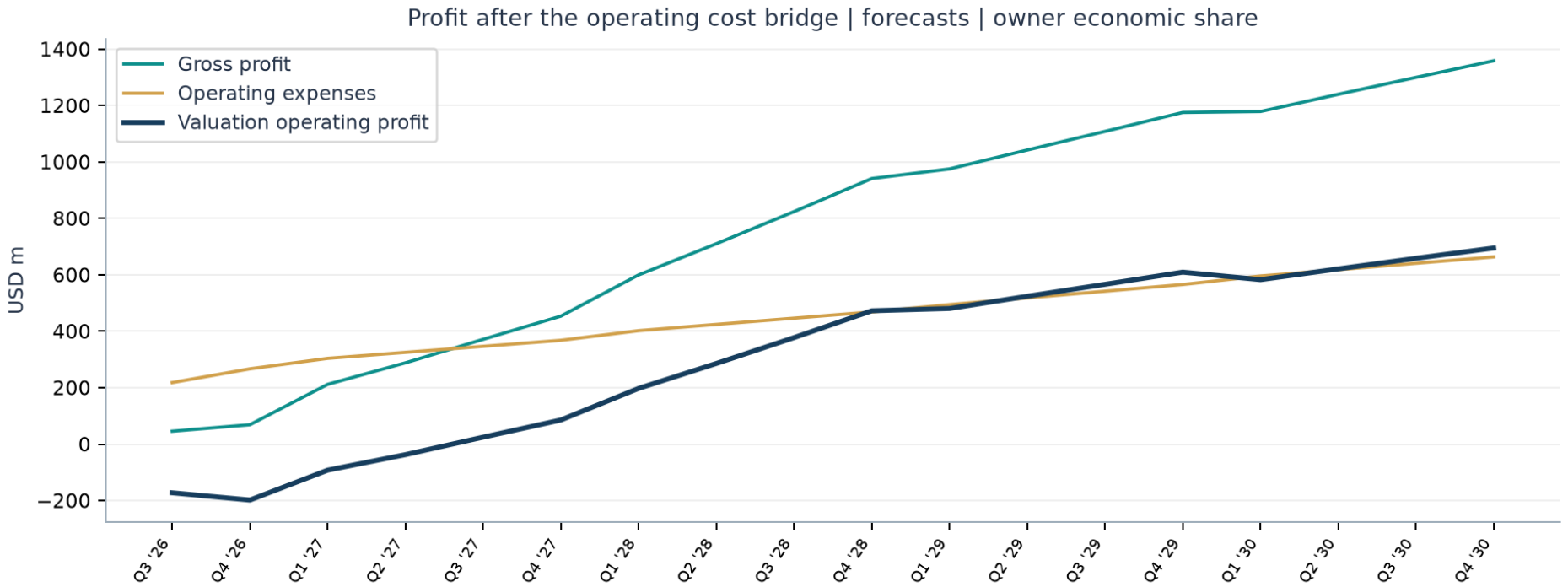
Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	201.8	0.0	201.8
Q4 2026	253.9	0.0	253.9
Q1 2027	616.0	-15.0	601.0
Q2 2027	770.5	-15.0	755.5
Q3 2027	925.0	-15.0	910.0
Q4 2027	1,079.5	-15.1	1,064.4
Q1 2028	1,349.2	-14.9	1,334.3
Q2 2028	1,557.2	-12.0	1,545.2
Q3 2028	1,765.2	-9.1	1,756.1

Quarter	Reference revenue	Weighted net change	Active revenue
Q4 2028	1,973.2	-6.1	1,967.1
Q1 2029	1,969.2	37.4	2,006.6
Q2 2029	2,069.6	73.7	2,143.3
Q3 2029	2,168.4	110.1	2,278.5
Q4 2029	2,268.8	146.3	2,415.1
Q1 2030	2,267.2	157.6	2,424.8
Q2 2030	2,369.2	179.7	2,548.9
Q3 2030	2,469.6	202.1	2,671.7
Q4 2030	2,568.4	224.6	2,793.0

Gross profit, operating expenses and earnings

Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.



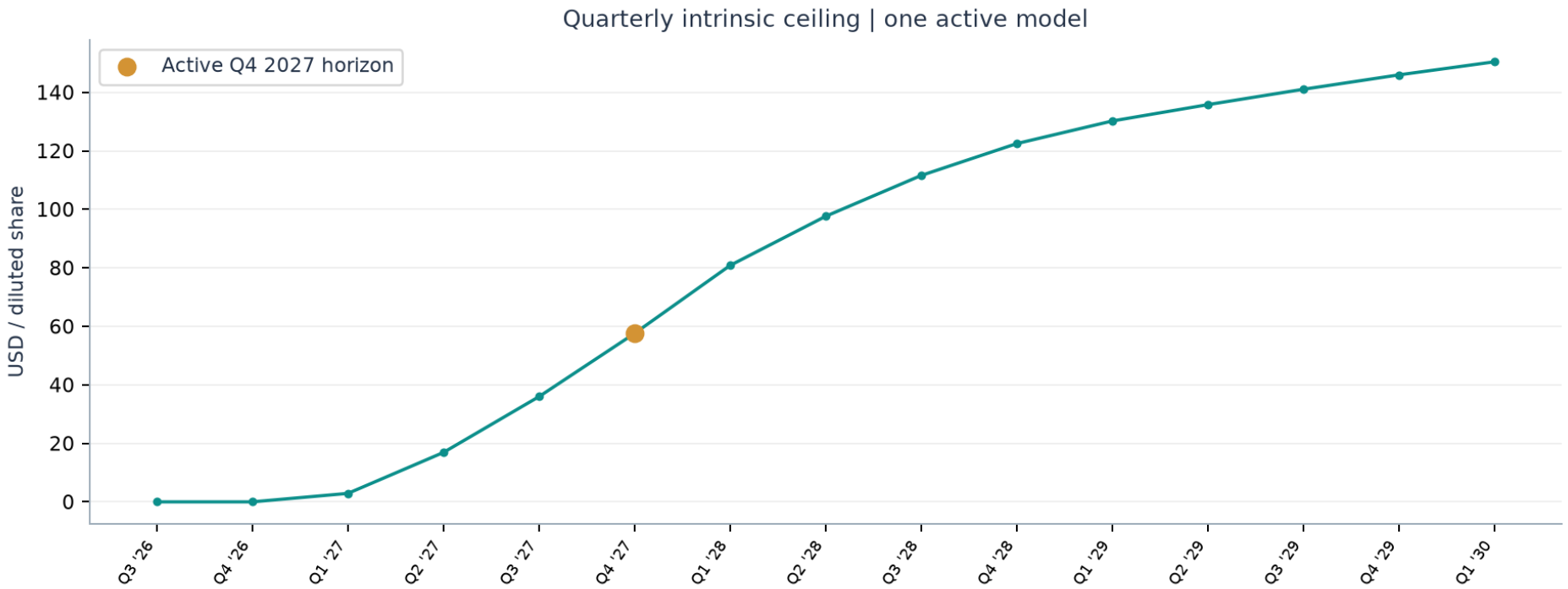
Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	201.8	45.9	218.2	-172.3	-85.4%
Q4 2026	253.9	68.9	266.9	-198.0	-78.0%
Q1 2027	601.0	212.0	304.1	-92.1	-15.3%
Q2 2027	755.5	288.2	325.4	-37.2	-4.9%
Q3 2027	910.0	371.6	346.7	24.8	2.7%
Q4 2027	1,064.4	453.7	368.1	85.7	8.0%
Q1 2028	1,334.3	599.8	402.2	197.6	14.8%
Q2 2028	1,545.2	710.3	424.3	286.0	18.5%
Q3 2028	1,756.1	824.2	446.5	377.7	21.5%

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q4 2028	1,967.1	941.4	468.7	472.7	24.0%
Q1 2029	2,006.6	975.5	494.6	480.8	24.0%
Q2 2029	2,143.3	1,042.5	518.3	524.1	24.5%
Q3 2029	2,278.5	1,108.5	542.0	566.5	24.9%
Q4 2029	2,415.1	1,175.5	565.8	609.7	25.2%
Q1 2030	2,424.8	1,179.0	596.0	583.0	24.0%
Q2 2030	2,548.9	1,239.8	618.6	621.3	24.4%
Q3 2030	2,671.7	1,299.7	641.1	658.7	24.7%
Q4 2030	2,793.0	1,358.7	663.6	695.1	24.9%

The complete ceiling path

Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.



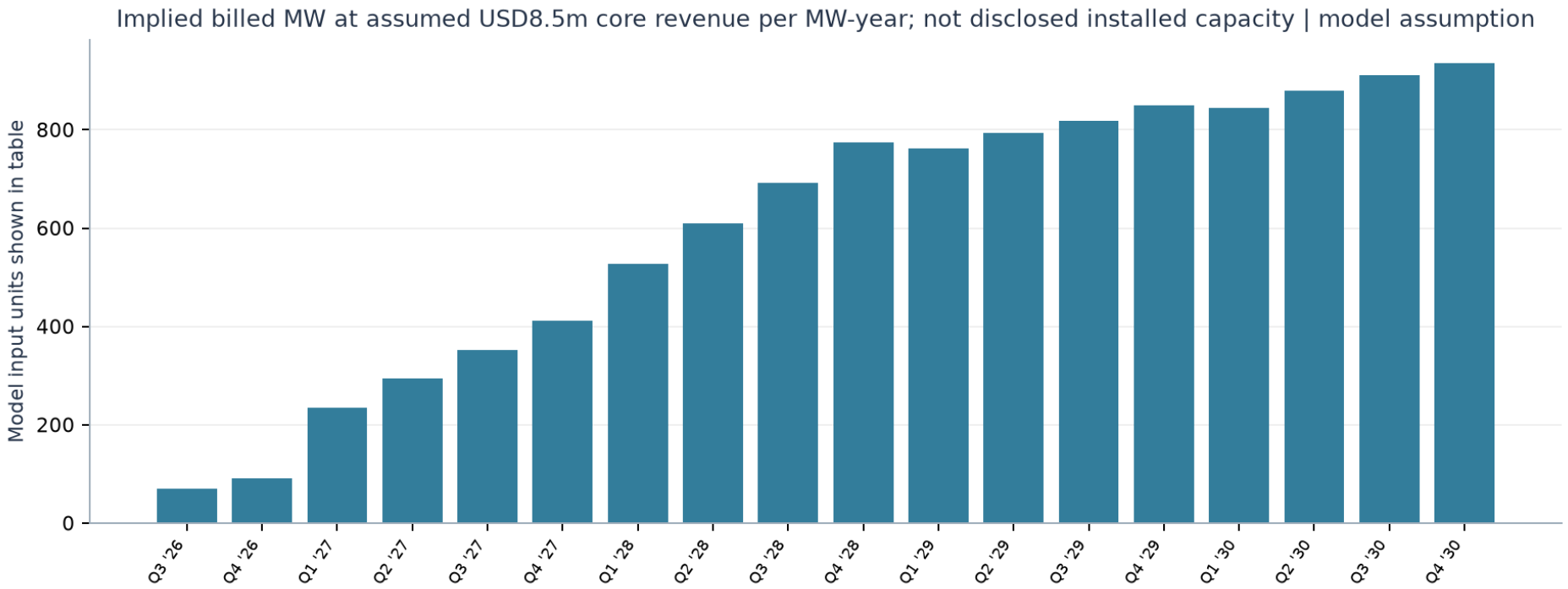
Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	-499.7	20x	322.781	0.00
Q4 2026	Q4 2026 to Q3 2027	-302.6	20x	323.985	0.00
Q1 2027	Q1 2027 to Q4 2027	-18.9	20x	325.193	2.90
Q2 2027	Q2 2027 to Q1 2028	270.9	20x	326.406	16.89
Q3 2027	Q3 2027 to Q2 2028	594.1	20x	327.623	35.98
Q4 2027	Q4 2027 to Q3 2028	947.0	20x	328.845	57.60
Q1 2028	Q1 2028 to Q4 2028	1,334.1	20x	330.071	80.84
Q2 2028	Q2 2028 to Q1 2029	1,617.3	20x	331.302	97.63
Q3 2028	Q3 2028 to Q2 2029	1,855.4	20x	332.537	111.59

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q4 2028	Q4 2028 to Q3 2029	2,044.2	20x	333.777	122.49
Q1 2029	Q1 2029 to Q4 2029	2,181.2	20x	335.022	130.21
Q2 2029	Q2 2029 to Q1 2030	2,283.3	20x	336.271	135.80
Q3 2029	Q3 2029 to Q2 2030	2,380.5	20x	337.525	141.05
Q4 2029	Q4 2029 to Q3 2030	2,472.7	20x	338.784	145.97
Q1 2030	Q1 2030 to Q4 2030	2,558.0	20x	340.047	150.45

The operating constraint behind the forecast

The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.



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Quarter	Implied billed MW at assumed USD8.5m core revenue per MW-year; not disclosed installed capacity	Status
Q3 2026	70.588	Model assumption; Q3 and FY2026 core guide calibrated
Q4 2026	91.192	Model assumption; Q3 and FY2026 core guide calibrated
Q1 2027	235.294	Model assumption
Q2 2027	294.118	Model assumption
Q3 2027	352.941	Model assumption
Q4 2027	411.765	Model assumption
Q1 2028	527.059	Model assumption
Q2 2028	609.412	Model assumption
Q3 2028	691.765	Model assumption
Q4 2028	774.118	Model assumption
Q1 2029	762.353	Model assumption
Q2 2029	792.941	Model assumption
Q3 2029	818.824	Model assumption
Q4 2029	849.412	Model assumption
Q1 2030	844.706	Model assumption
Q2 2030	880.000	Model assumption
Q3 2030	910.588	Model assumption
Q4 2030	936.471	Model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Hardware sales before customer consideration	65.0	33.7%	21.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Cerebras cloud before pass-through and warrants	150.0	36.5%	54.8
Q3 2026	Partner hardware leases and support	0.0	0.0%	0.0
Q3 2026	Contractual data-center pass-through	18.0	2.9%	0.5
Q3 2026	Customer warrant contra-revenue	-31.2	100.0%	-31.2
Q4 2026	Hardware sales before customer consideration	75.0	34.3%	25.7
Q4 2026	Cerebras cloud before pass-through and warrants	193.8	41.6%	80.6
Q4 2026	Partner hardware leases and support	0.0	0.0%	0.0
Q4 2026	Contractual data-center pass-through	23.3	2.9%	0.7
Q4 2026	Customer warrant contra-revenue	-38.1	100.0%	-38.1
Q1 2027	Hardware sales before customer consideration	80.0	34.8%	27.9
Q1 2027	Cerebras cloud before pass-through and warrants	500.0	45.8%	229.2
Q1 2027	Partner hardware leases and support	20.0	48.8%	9.8
Q1 2027	Contractual data-center pass-through	60.0	2.9%	1.7
Q1 2027	Customer warrant contra-revenue	-44.0	100.0%	-44.0
Q2 2027	Hardware sales before customer consideration	90.0	35.1%	31.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2027	Cerebras cloud before pass-through and warrants	625.0	49.1%	306.7
Q2 2027	Partner hardware leases and support	35.0	49.1%	17.2
Q2 2027	Contractual data-center pass-through	75.0	2.9%	2.2
Q2 2027	Customer warrant contra-revenue	-54.5	100.0%	-54.5
Q3 2027	Hardware sales before customer consideration	100.0	35.2%	35.2
Q3 2027	Cerebras cloud before pass-through and warrants	750.0	52.2%	391.7
Q3 2027	Partner hardware leases and support	50.0	49.2%	24.6
Q3 2027	Contractual data-center pass-through	90.0	2.9%	2.6
Q3 2027	Customer warrant contra-revenue	-65.0	100.0%	-65.0
Q4 2027	Hardware sales before customer consideration	110.0	35.3%	38.9
Q4 2027	Cerebras cloud before pass-through and warrants	875.0	54.3%	475.4
Q4 2027	Partner hardware leases and support	65.0	49.3%	32.1
Q4 2027	Contractual data-center pass-through	105.0	2.9%	3.1
Q4 2027	Customer warrant contra-revenue	-75.5	100.0%	-75.5
Q1 2028	Hardware sales before customer consideration	110.0	34.4%	37.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2028	Cerebras cloud before pass-through and warrants	1,120.0	56.4%	631.5
Q1 2028	Partner hardware leases and support	70.0	52.4%	36.7
Q1 2028	Contractual data-center pass-through	134.4	2.9%	3.9
Q1 2028	Customer warrant contra-revenue	-85.2	100.0%	-85.2
Q2 2028	Hardware sales before customer consideration	115.0	34.5%	39.6
Q2 2028	Cerebras cloud before pass-through and warrants	1,295.0	57.5%	744.2
Q2 2028	Partner hardware leases and support	90.0	52.5%	47.2
Q2 2028	Contractual data-center pass-through	155.4	2.9%	4.5
Q2 2028	Customer warrant contra-revenue	-98.2	100.0%	-98.2
Q3 2028	Hardware sales before customer consideration	120.0	34.5%	41.4
Q3 2028	Cerebras cloud before pass-through and warrants	1,470.0	58.5%	860.4
Q3 2028	Partner hardware leases and support	110.0	52.5%	57.8
Q3 2028	Contractual data-center pass-through	176.4	2.9%	5.1
Q3 2028	Customer warrant contra-revenue	-111.2	100.0%	-111.2
Q4 2028	Hardware sales before customer consideration	125.0	34.6%	43.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	Cerebras cloud before pass-through and warrants	1,645.0	59.6%	980.1
Q4 2028	Partner hardware leases and support	130.0	52.6%	68.4
Q4 2028	Contractual data-center pass-through	197.4	2.9%	5.7
Q4 2028	Customer warrant contra-revenue	-124.2	100.0%	-124.2
Q1 2029	Hardware sales before customer consideration	130.0	34.5%	44.9
Q1 2029	Cerebras cloud before pass-through and warrants	1,620.0	59.5%	964.5
Q1 2029	Partner hardware leases and support	150.0	52.5%	78.8
Q1 2029	Contractual data-center pass-through	194.4	2.9%	5.7
Q1 2029	Customer warrant contra-revenue	-125.2	100.0%	-125.2
Q2 2029	Hardware sales before customer consideration	135.0	34.6%	46.7
Q2 2029	Cerebras cloud before pass-through and warrants	1,685.0	59.6%	1,003.6
Q2 2029	Partner hardware leases and support	180.0	52.6%	94.6
Q2 2029	Contractual data-center pass-through	202.2	2.9%	5.9
Q2 2029	Customer warrant contra-revenue	-132.6	100.0%	-132.6
Q3 2029	Hardware sales before customer consideration	140.0	34.6%	48.4

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2029	Cerebras cloud before pass-through and warrants	1,740.0	59.6%	1,036.7
Q3 2029	Partner hardware leases and support	220.0	52.6%	115.7
Q3 2029	Contractual data-center pass-through	208.8	2.9%	6.1
Q3 2029	Customer warrant contra-revenue	-140.4	100.0%	-140.4
Q4 2029	Hardware sales before customer consideration	145.0	34.6%	50.2
Q4 2029	Cerebras cloud before pass-through and warrants	1,805.0	59.6%	1,075.8
Q4 2029	Partner hardware leases and support	250.0	52.6%	131.5
Q4 2029	Contractual data-center pass-through	216.6	2.9%	6.3
Q4 2029	Customer warrant contra-revenue	-147.8	100.0%	-147.8
Q1 2030	Hardware sales before customer consideration	145.0	34.6%	50.1
Q1 2030	Cerebras cloud before pass-through and warrants	1,795.0	59.6%	1,069.2
Q1 2030	Partner hardware leases and support	260.0	52.6%	136.7
Q1 2030	Contractual data-center pass-through	215.4	2.9%	6.3
Q1 2030	Customer warrant contra-revenue	-148.2	100.0%	-148.2
Q2 2030	Hardware sales before customer consideration	150.0	34.6%	51.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Cerebras cloud before pass-through and warrants	1,870.0	59.6%	1,114.2
Q2 2030	Partner hardware leases and support	280.0	52.6%	147.2
Q2 2030	Contractual data-center pass-through	224.4	2.9%	6.5
Q2 2030	Customer warrant contra-revenue	-155.2	100.0%	-155.2
Q3 2030	Hardware sales before customer consideration	155.0	34.6%	53.6
Q3 2030	Cerebras cloud before pass-through and warrants	1,935.0	59.6%	1,153.3
Q3 2030	Partner hardware leases and support	310.0	52.6%	163.1
Q3 2030	Contractual data-center pass-through	232.2	2.9%	6.8
Q3 2030	Customer warrant contra-revenue	-162.6	100.0%	-162.6
Q4 2030	Hardware sales before customer consideration	160.0	34.6%	55.4
Q4 2030	Cerebras cloud before pass-through and warrants	1,990.0	59.6%	1,186.4
Q4 2030	Partner hardware leases and support	350.0	52.6%	184.2
Q4 2030	Contractual data-center pass-through	238.8	2.9%	7.0
Q4 2030	Customer warrant contra-revenue	-170.4	100.0%	-170.4

Operating-cost derivation

Quarter	Core R&D	Core selling and administration	Recurring employee stock compensation in opex
Q3 2026	88.0	47.4	82.8
Q4 2026	119.7	64.5	82.8
Q1 2027	143.0	77.0	80.5
Q2 2027	156.0	84.0	80.5
Q3 2027	169.0	91.0	80.5
Q4 2027	182.0	98.0	80.5
Q1 2028	195.0	105.0	92.0
Q2 2028	208.0	112.0	92.0
Q3 2028	221.0	119.0	92.0
Q4 2028	234.0	126.0	92.0
Q1 2029	247.0	133.0	101.2
Q2 2029	260.0	140.0	101.2
Q3 2029	273.0	147.0	101.2
Q4 2029	286.0	154.0	101.2
Q1 2030	299.0	161.0	110.4
Q2 2030	312.0	168.0	110.4
Q3 2030	325.0	175.0	110.4
Q4 2030	338.0	182.0	110.4

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	CBRS-PARTNER	55%	0.0	0.0	0.0	0.0
Q3 2026	CBRS-PRICE	35%	0.0	0.0	0.0	0.0
Q3 2026	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q3 2026	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q3 2026	CBRS-EXEC	30%	0.0	0.0	0.0	0.0
Q4 2026	CBRS-PARTNER	55%	0.0	0.0	0.0	0.0
Q4 2026	CBRS-PRICE	35%	0.0	0.0	0.0	0.0
Q4 2026	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q4 2026	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q4 2026	CBRS-EXEC	30%	0.0	0.0	0.0	0.0
Q1 2027	CBRS-PARTNER	55%	9.0	4.0	1.0	1.7
Q1 2027	CBRS-PRICE	35%	3.5	2.4	0.2	0.8
Q1 2027	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q1 2027	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q1 2027	CBRS-EXEC	30%	-70.5	-52.0	10.0	-18.6
Q2 2027	CBRS-PARTNER	55%	18.0	8.0	2.0	3.3
Q2 2027	CBRS-PRICE	35%	4.4	3.0	0.2	1.0
Q2 2027	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q2 2027	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q2 2027	CBRS-EXEC	30%	-88.1	-67.8	12.5	-24.1
Q3 2027	CBRS-PARTNER	55%	27.0	12.0	3.0	5.0
Q3 2027	CBRS-PRICE	35%	5.3	3.6	0.3	1.2
Q3 2027	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q3 2027	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q3 2027	CBRS-EXEC	30%	-105.8	-84.8	15.0	-29.9

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2027	CBRS-PARTNER	55%	36.0	16.0	4.0	6.6
Q4 2027	CBRS-PRICE	35%	6.2	4.2	0.3	1.4
Q4 2027	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q4 2027	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q4 2027	CBRS-EXEC	30%	-123.4	-101.5	17.5	-35.7
Q1 2028	CBRS-PARTNER	55%	54.0	24.0	6.0	9.9
Q1 2028	CBRS-PRICE	35%	7.9	5.4	0.4	1.7
Q1 2028	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q1 2028	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q1 2028	CBRS-EXEC	30%	-157.9	-133.3	22.4	-46.7
Q2 2028	CBRS-PARTNER	55%	72.0	32.0	8.0	13.2
Q2 2028	CBRS-PRICE	35%	9.1	6.2	0.5	2.0
Q2 2028	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q2 2028	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q2 2028	CBRS-EXEC	30%	-182.6	-156.0	25.9	-54.6
Q3 2028	CBRS-PARTNER	55%	90.0	40.0	10.0	16.5
Q3 2028	CBRS-PRICE	35%	10.4	7.1	0.6	2.3
Q3 2028	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q3 2028	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q3 2028	CBRS-EXEC	30%	-207.3	-179.3	29.4	-62.6
Q4 2028	CBRS-PARTNER	55%	108.0	48.0	12.0	19.8
Q4 2028	CBRS-PRICE	35%	11.6	7.9	0.6	2.5
Q4 2028	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q4 2028	CBRS-ROADMAP	30%	0.0	0.0	0.0	0.0
Q4 2028	CBRS-EXEC	30%	-231.9	-203.2	32.9	-70.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2029	CBRS-PARTNER	55%	126.0	56.0	14.0	23.1
Q1 2029	CBRS-PRICE	35%	6.9	4.7	0.4	1.5
Q1 2029	CBRS-OPTION	30%	0.0	0.0	0.0	0.0
Q1 2029	CBRS-ROADMAP	30%	0.0	14.6	2.4	3.6
Q1 2029	CBRS-EXEC	30%	-114.2	-100.0	16.2	-34.9
Q2 2029	CBRS-PARTNER	55%	144.0	64.0	16.0	26.4
Q2 2029	CBRS-PRICE	35%	7.1	4.9	0.4	1.6
Q2 2029	CBRS-OPTION	30%	92.0	47.0	8.0	11.7
Q2 2029	CBRS-ROADMAP	30%	0.0	15.2	2.5	3.8
Q2 2029	CBRS-EXEC	30%	-118.8	-104.0	16.9	-36.3
Q3 2029	CBRS-PARTNER	55%	162.0	72.0	18.0	29.7
Q3 2029	CBRS-PRICE	35%	7.4	5.0	0.4	1.6
Q3 2029	CBRS-OPTION	30%	184.0	94.0	16.0	23.4
Q3 2029	CBRS-ROADMAP	30%	0.0	15.7	2.6	3.9
Q3 2029	CBRS-EXEC	30%	-122.7	-107.4	17.4	-37.5
Q4 2029	CBRS-PARTNER	55%	180.0	80.0	20.0	33.0
Q4 2029	CBRS-PRICE	35%	7.6	5.2	0.4	1.7
Q4 2029	CBRS-OPTION	30%	276.0	141.0	24.0	35.1
Q4 2029	CBRS-ROADMAP	30%	0.0	16.2	2.7	4.1
Q4 2029	CBRS-EXEC	30%	-127.3	-111.5	18.1	-38.9
Q1 2030	CBRS-PARTNER	55%	180.0	80.0	20.0	33.0
Q1 2030	CBRS-PRICE	35%	0.0	0.0	0.0	0.0
Q1 2030	CBRS-OPTION	30%	322.0	164.5	28.0	40.9
Q1 2030	CBRS-ROADMAP	30%	0.0	16.2	2.7	4.0
Q1 2030	CBRS-EXEC	30%	-126.5	-110.8	17.9	-38.6

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2030	CBRS-PARTNER	55%	198.0	88.0	22.0	36.3
Q2 2030	CBRS-PRICE	35%	0.0	0.0	0.0	0.0
Q2 2030	CBRS-OPTION	30%	368.0	188.0	32.0	46.8
Q2 2030	CBRS-ROADMAP	30%	0.0	16.8	2.8	4.2
Q2 2030	CBRS-EXEC	30%	-131.8	-115.5	18.7	-40.3
Q3 2030	CBRS-PARTNER	55%	216.0	96.0	24.0	39.6
Q3 2030	CBRS-PRICE	35%	0.0	0.0	0.0	0.0
Q3 2030	CBRS-OPTION	30%	414.0	211.5	36.0	52.6
Q3 2030	CBRS-ROADMAP	30%	0.0	17.4	2.9	4.4
Q3 2030	CBRS-EXEC	30%	-136.4	-119.5	19.4	-41.7
Q4 2030	CBRS-PARTNER	55%	234.0	104.0	26.0	42.9
Q4 2030	CBRS-PRICE	35%	0.0	0.0	0.0	0.0
Q4 2030	CBRS-OPTION	30%	460.0	235.0	40.0	58.5
Q4 2030	CBRS-ROADMAP	30%	0.0	17.9	3.0	4.5
Q4 2030	CBRS-EXEC	30%	-140.3	-122.9	19.9	-42.8

Coherent operating and funding outcomes

Five event outcomes form 32 mutually exclusive combinations. Each outcome persists across the quarterly path. Event independence is a model assumption. Common equity equals the positive part of 20 times state-specific four-quarter operating profit less customer debt outstanding at the valuation quarter, divided by shares at the end of the earnings window. The floor is applied before probability weighting; cash is not added or used to offset this debt.

Event-bit order: Partner, Pricing, Optional capacity, Roadmap, Execution risk. 1 means that event occurs; 0 means it does not. A 1 in the final position is the adverse execution event.

State / bits	Probability	Q4 2027 F4Q OP	Q4 2027 ceiling	Minimum path cash
S00 / 00000	10.03%	1,093.0	66.48	4,891.0
S01 / 10000	12.26%	1,177.0	71.59	4,782.2

State / bits	Probability	Q4 2027 F4Q OP	Q4 2027 ceiling	Minimum path cash
S02 / 01000	5.40%	1,114.1	67.76	4,906.1
S03 / 11000	6.60%	1,198.1	72.87	4,797.3
S04 / 00100	4.30%	1,093.0	66.48	4,781.2
S05 / 10100	5.26%	1,177.0	71.59	4,649.5
S06 / 01100	2.32%	1,114.1	67.76	4,801.2
S07 / 11100	2.83%	1,198.1	72.87	4,669.5
S08 / 00010	4.30%	1,093.0	66.48	4,891.0
S09 / 10010	5.26%	1,177.0	71.59	4,782.2
S10 / 01010	2.32%	1,114.1	67.76	4,906.1
S11 / 11010	2.83%	1,198.1	72.87	4,797.3
S12 / 00110	1.84%	1,093.0	66.48	4,781.2
S13 / 10110	2.25%	1,177.0	71.59	4,649.5
S14 / 01110	0.99%	1,114.1	67.76	4,801.2
S15 / 11110	1.21%	1,198.1	72.87	4,669.5
S16 / 00001	4.30%	427.7	26.01	4,357.6
S17 / 10001	5.26%	511.7	31.12	4,229.0
S18 / 01001	2.32%	448.7	27.29	4,379.1
S19 / 11001	2.83%	532.7	32.40	4,249.6
S20 / 00101	1.84%	427.7	26.01	4,125.1
S21 / 10101	2.25%	511.7	31.12	3,984.0
S22 / 01101	0.99%	448.7	27.29	4,152.2
S23 / 11101	1.21%	532.7	32.40	4,010.3
S24 / 00011	1.84%	427.7	26.01	4,357.6
S25 / 10011	2.25%	511.7	31.12	4,229.0
S26 / 01011	0.99%	448.7	27.29	4,379.1

State / bits	Probability	Q4 2027 F4Q OP	Q4 2027 ceiling	Minimum path cash
S27 / 11011	1.21%	532.7	32.40	4,249.6
S28 / 00111	0.79%	427.7	26.01	4,125.1
S29 / 10111	0.97%	511.7	31.12	3,984.0
S30 / 01111	0.43%	448.7	27.29	4,152.2
S31 / 11111	0.52%	532.7	32.40	4,010.3

Minimum path cash is the lowest quarter-end cash balance from Q3 2026 through Q4 2030 in that coherent state. It is a funding check, not an extra valuation asset. All 32 modeled paths remain above the minimum liquidity policy.

Quarterly debt, shares and funding envelope

Conditional financing outputs are retained with each operating state. The compact table shows the full path without repeating 576 state-quarter records. Shares below are each operating quarter; each ceiling uses the share count three quarters later.

Quarter	Customer debt	Quarter shares	Expected cash	Lowest state cash	Highest state capex
Q3 2026	768.2	319.197	7,523.5	7,523.5	550.0
Q4 2026	618.2	320.387	7,046.3	7,046.3	650.0
Q1 2027	443.2	321.582	6,335.2	6,283.9	780.0
Q2 2027	268.2	322.781	5,687.3	5,567.5	780.0
Q3 2027	93.2	323.985	5,156.7	4,964.4	780.0
Q4 2027	0.0	325.193	4,817.2	4,549.5	780.0
Q1 2028	0.0	326.406	4,670.1	4,228.7	910.0
Q2 2028	0.0	327.623	4,664.3	4,041.5	910.0
Q3 2028	0.0	328.845	4,795.4	3,984.0	910.0
Q4 2028	0.0	330.071	5,066.1	4,058.8	910.0
Q1 2029	0.0	331.302	5,373.5	4,097.2	1,110.0
Q2 2029	0.0	332.537	5,766.7	4,266.7	1,110.0
Q3 2029	0.0	333.777	6,227.1	4,546.0	1,110.0

Quarter	Customer debt	Quarter shares	Expected cash	Lowest state cash	Highest state capex
Q4 2029	0.0	335.022	6,787.2	4,967.1	1,110.0
Q1 2030	0.0	336.271	7,423.6	5,535.5	1,000.0
Q2 2030	0.0	337.525	8,104.6	6,152.5	1,060.0
Q3 2030	0.0	338.784	8,858.7	6,856.2	1,060.0
Q4 2030	0.0	340.047	9,660.5	7,621.5	1,060.0

Claim decisions, overlap and triggers

CBRS-PARTNER

p: 0.55

signal: AWS Bedrock and AMD heterogeneous inference broaden distribution and useful paid throughput.

Conditional: Additional partner lease/support revenue above the existing reference: $0m in 2026; $10m/$20m/$30m/$40m by quarter in 2027; $60m/$80m/$100m/$120m in 2028; $140m/$160m/$180m/$200m in 2029; $200m/$220m/$240m/$260m in 2030.

scope: Reference already has $170m partner revenue in 2027 and $400m in 2028. This is residual adoption, not all AWS retail tokens. No separate 5-times throughput or AMD revenue multiplier.

bridge: 50% gross profit before customer consideration, less 10% of added sales for warrant contra-revenue, and 10% incremental deployment/support/R&D expense: 30% incremental GAAP operating-profit capture. Incremental capex equals 0.75 times added annualized run-rate increments.

timing: Q1 2027 Bedrock target, with recognized invoices after deployments; no revenue on a partnership announcement.

counter: Launch, workload shape, customer usage and the amount of AWS spending retained by Cerebras remain uncertain.

CBRS-PRICE

p: 0.35

signal: Management reports higher realized prices and willingness to pay for low-latency agentic inference.

Conditional: 5% premium on 15% of original private-cloud reference revenue in 2027-28, 3% in 2029 and zero in 2030.

scope: Only new or repriceable capacity. Existing OpenAI fixed commitments and reference pricing are not repriced; the eligible fraction is an explicitly uncertain proxy. No price uplift on partner or optional-capacity branches.

bridge: 70% incremental GP less 6% warrant consideration and 5% selling/support cost: 59% operating-profit retention.

timing: Recognition on delivered 2027-29 service.

counter: A falling market cost per token and competing accelerators could transfer all architectural savings to customers.

CBRS-OPTION

p: 0.3

signal: OpenAI has a contractual option for an additional 1.25 GW beyond its committed 750 MW.

Conditional: A limited 250 MW commercial branch, not the full option: additional core cloud revenue of $0m through 2028, then $0m/$100m/$200m/$300m in 2029 and $350m/$400m/$450m/$500m in 2030.

scope: The 750 MW committed business is already in the reference and receives no additional increment. The branch reaches a $2bn annualized core run rate, or $8m per assumed MW-year, by Q4 2030. All existing OpenAI warrants are already included in the conservative fully diluted denominator.

bridge: 55% GP before an 8% incremental warrant allowance, with 8% additional operating expense: 39% GAAP OP capture. Conditional additional capex is $0.4bn in 2028, $1.2bn in 2029 and $0.8bn in 2030, including capital committed before service recognition.

timing: Capital starts in 2028; revenue only after delivered tranches from Q2 2029.

counter: The option is not binding demand. Site acceptance, credit, funding, alternative suppliers and model architecture can change take-up.

CBRS-ROADMAP

p: 0.3

signal: CS-5 and proposed CS-6 memory integration could lower the cost of delivering future decode workloads.

Conditional: Residual 3 percentage-point GP improvement on only 30% of reference private-cloud revenue in 2029-30, with added engineering expense equal to 0.5% of that same eligible revenue.

scope: Reference already reaches 60% core cloud GM by late 2028 and includes CS-4/disaggregation benefits. No added tokens, revenue, HBM replacement or demand multiplier. The branch is the remaining cost saving after new packaging/DRAM costs.

bridge: Net OP gain equals 2.5% of the 30% eligible pool, probability weighted at 30%. Incremental development cost is included; new-generation equipment spending is included in the reference refresh budget.

timing: 2029-30 assumption; no official CS-6 commercial date.

counter: 3D bonding yield, thermal density, cost, reliability and software may prevent the saving. Announced bandwidth is not measured fleet economics.

CBRS-EXEC

p: 0.3

signal: Power delivery, wafer-scale manufacturing, rented transitional capacity, workload utilization and customer concentration can delay monetization.

Conditional: 15% shortfall in private-cloud core revenue, 5 percentage-point GM pressure on remaining 85%, and extra operating costs equal to 2% of the original private-cloud pool in 2027-28; half these effects in 2029-30.

scope: One combined execution/usage state on reference private cloud; no separate correlated power, utilization or capacity shock. Hardware, partner revenue and optional tranches are excluded.

bridge: Lost reference GP, lower remaining GM, additional support cost, and an offset for 6% avoided warrant amortization on lost revenue. Capital commitments are retained in the cash stress, rather than assumed cancelable.

timing: 2027-30; near-term core guidance is used without an additional shock.

counter: Contractual customer commitments, prepaid financing and approximately $7.9bn unrestricted liquidity reduce, but do not remove, execution risk.

Remaining bounded uncertainties

- The 2027 reference exceeds three times the FY2026 midpoint, but later revenue and margin paths are analyst assumptions. The issuer has not disclosed installed billable MW, realized revenue per MW or absolute good-system capacity.
- The $8.5m core-revenue-per-MW-year figure is a model diagnostic, not a disclosed contract rate. It is close to dividing $25.4bn RPO by 750 MW and four years, but RPO includes hardware/other customers and some pass-throughs, so this is not a clean observed price.
- Customer-warrant fair values, GAAP amortization timing and future probable vesting require updates. The model includes an explicit recurring charge and a finite-grant diagnostic rather than assuming core revenue equals GAAP revenue.
- The fully diluted denominator includes all existing options, RSUs, performance awards and customer warrants, including conditions that may never vest. June-based reconstruction avoids counting July OpenAI exercise a second time; post-June new grants or net share settlement must be reconciled with the next filing.
- Recurring SBC is modeled at $350m in 2027, rising to $480m in 2030. These are assumptions; the $273.6m legacy IPO catch-up is excluded from future expense, while the executive performance award expense is not removed.
- Reference capex is $3bn annually in 2027-29 and $3.2bn in 2030. Absolute system cost and site cash reimbursement terms are not fully disclosed. The model includes AMD prefill equipment and refresh inside those budgets, not as free capacity.
- Operating lease commitments include $690.3m already commenced at June plus about $1.5bn signed but not commenced then and $753.4m signed in Q3. Contractual pass-throughs are recognized gross; renewal/cancellation and cash-timing risks remain.
- Mikkeli 165 MW is contracted IT capacity delivered in phases, not live capacity or an independent demand shock. Its overlap with the earlier 600 MW figure is not fully disclosed; no additive 165 MW uplift is booked.
- Both latest management calls were read in redistributed transcript form; original audio was not independently transcribed. Issuer/SEC numerical reconciliations take priority. Nasdaq returned no official quote; the dated October 6 close uses a labeled secondary source.
- Stock-compensation expense and diluted ownership are both retained under a GAAP operating-profit method. A switch to core OP would be a different valuation method, not an innocuous adjustment.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Cerebras June 2026 Form 10-Q | 2026-08-12

https://www.sec.gov/Archives/edgar/data/2021728/000162828026056357/cbrs-20260630.htm

Archived source SHA-256: 818cc9cf8aeaa2216a3b4e21d125396620249170e193001c1fd781df27068644

[2] Cerebras final IPO prospectus, including audited 2025 statements | 2026-05-14

https://www.sec.gov/Archives/edgar/data/2021728/000162828026035214/cerebras-424b4.htm

Archived source SHA-256: bbad02ffe9cd1a12c955a6b2b729fb28df0c15a8873a1041f38fd19bc975fb52

[3] Q2 2026 issuer earnings release and GAAP/core reconciliation | 2026-08-12

https://www.sec.gov/Archives/edgar/data/2021728/000162828026056186/cbrsannouncesfinancialresu.htm

Archived source SHA-256: d22260ee594fc1e190d63468bf6df9cae5be17780cab3b1d5c9a62ee226a99ec

[4] Q1 2026 issuer earnings release | 2026-06-23

https://investors.cerebras.ai/news-releases/news-release-details/cerebras-systems-announces-strong-first-quarter-2026-results

[5] Introducing CS-4: issuer architecture and original exhibits | 2026-08-18

https://www.cerebras.ai/blog/introducing-cerebras-cs-4

Archived source SHA-256: 04f15e3e95be5056967f3683a268688e3d0c082fe8bd72eb80512f76647f19a2

[6] Hot Chips 2026: original issuer architecture and roadmap exhibits | 2026-08-25

https://www.cerebras.ai/blog/ultrafast-frontier-inference-cerebras-deep-dive-at-hot-chips-2026

Archived source SHA-256: 6baafa6567c10a22ecd43ed8e475c2c3d3bc4f032b16381b1de2f060a57644cd

[7] AMD and Cerebras disaggregated inference announcement | 2026-07-23

https://ir.amd.com/news-events/press-releases/detail/1293/amd-and-cerebras-announce-industry-leading-ultra-low-latency-and-high-throughput-ai-inference-solution

Archived source SHA-256: bf51b24ac851d54ed8e1771c12633aeb45ca82cade5590678f991fd1036b9d40

[8] Cerebras and Compute Nordic Finland: phased 165 MW IT capacity | 2026-09-01

https://investors.cerebras.ai/news-releases/news-release-details/cerebras-and-compute-nordic-finland-announce-new-165-mw-ai-data

[9] Q2 management call, Quartr transcript redistributed by Stock Analysis | 2026-08-12

https://stockanalysis.com/stocks/cbrs/transcripts/686677-q2-2026/

[10] Q1 management call, Quartr transcript redistributed by Stock Analysis | 2026-06-23

https://stockanalysis.com/stocks/cbrs/transcripts/684664-q1-2026/

[11] Historical market close, October 6, 2026 | 2026-10-06

https://stockanalysis.com/stocks/cbrs/history/

[12] Official listed security and exchange | 2026-10-07

https://www.nasdaq.com/market-activity/stocks/cbrs

[13] Official inference pricing and workload qualification | 2026-10-07

https://www.cerebras.ai/pricing

The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.

October 9 source additions

- **C14:** Damnang, Cerebras Mass Production Challenges, October8,2026, published16:08:12.883Z and revised16:18:38.842Z. Full owner-supplied article and29original figures reviewed. HTML SHA256:3e5dd391162083eadb43ae913b1b3b854f56504e1a156a4a9ecb33d577705904. Scenarios are not measured company yields.
- **C15:** Cerebras, 100x Defect Tolerance, January13,2025, primary explanation of the simplified area-loss comparison and its limits; reviewed October9. US11328208B2 supplies possible repair embodiments, not confirmation of every current production rule.